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Korea Economic Outlook

2026. 2



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Korea Economic Outlook

Growth Rebounds to 2% Amid Sectoral Imbalance

2026. 2

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Executive Summary

- **The Korean economy is projected to expand by 2.0% in 2026, underpinned by the strengthened semiconductor cycle upturn and a stronger-than-expected global economic backdrop, despite the impact of U.S. tariffs and a sluggish recovery in construction investment.**

- **CPI inflation is expected at 2.2%, slightly above the previous forecast, as cost increases in certain items, such as electronic devices and insurance premiums, have added to inflationary pressures, while demand-side pressures remain subdued.**

(%, %p)	2024	2025[1)]	2026[e)1)]	2027[e)1)]
GDP growth rate	2.0	1.0(—)	2.0(+0.2)	1.8(-0.1)
Headline inflation (%)	2.3	2.1(—)	2.2(+0.1)	2.0(—)
(Core inflation)	2.2	1.9(—)	2.1(+0.1)	2.0(—)

Note: 1) ( ) indicates change from the November 2025 projection.

ECONOMIC CONDITIONS

☐ **The global economy is expected to sustain solid growth in the low 3% range, supported by robust AI-related investment and accommodative monetary and fiscal policies in major economies; however, uncertainty surrounding the outlook is assessed to have increased following the court ruling invalidating U.S. reciprocal tariffs.**

- The **United States** is projected to post robust growth, underpinned by expanding AI-related investment and policy support, including the OBBBA. The **euro area** is expected to maintain modest growth, supported by accommodative financial conditions and fiscal expansion, despite constraints from trade conditions including U.S. tariffs. Meanwhile, **China**'s growth is expected to be lower than 2025 due to persistent domestic demand weakness, including the real estate market downturn, and slower export growth, although export market diversification and domestic stimulus measures are projected to partially offset these headwinds.

- **Global trade growth** is expected to moderate somewhat from 2025 as trade uncertainty persists, although robust AI-related trade and trade diversification efforts – such as the EU-India FTA – are expected to limit the extent of the slowdown. The **global semiconductor industry** continues to see rapid memory-led gains as AI model deployment expands from training to inference. However, both upside risks – such as the proliferation of physical AI – and downside risks – including an AI investment correction and U.S. tariff imposition – remain significant.

- **Global oil prices** (Brent crude) have been rising considerably recently amid heightened military tensions between the U.S. and Iran, but are projected to decline gradually over the course of the year as excess supply conditions persist.

On the domestic front, income conditions are improving on the back of strong IT corporate earnings and rising stock prices, and economic sentiment* remains favorable. However, the non-IT sector continues to underperform, and FX and financial market volatility remain latent risk factors.

* Composite Consumer Sentiment Index: Jan.-Apr. 2025 avg. 93.2 → May. 101.7 → Aug. 111.2 → Nov. 112.3 → **Feb. 2026 112.1**

- **Nominal wage growth** is expected to improve gradually, driven in part by strong IT corporate performance.

- **Corporate bond rates** have risen, reflecting diminished expectations for rate cuts and market tightness. **The won to U.S. dollar exchange rate** has declined to the mid-1,400 level, but has exhibited heightened volatility recently, driven by overseas securities investment by residents and co-movement with the yen. **Housing prices** have continued to rise, primarily in the Seoul metropolitan area, but the pace of increase has moderated recently owing to government measures.

U.S. Tariff Policy: Status and Assumptions

☐ **[Status] The U.S. reciprocal tariffs, including fentanyl tariffs, have been invalidated; instead, a temporary 15% global tariff is imposed for up to 150 days. The product scope is broadly in line with the former reciprocal tariffs. However, product-specific tariffs imposed on automobiles, steel, etc. remain in effect.***

* A 10% tariff was imposed on February 24 (local time), and procedures are currently underway to raise it to 15%

☐ **[Tariff Changes] The U.S. average tariff rate on Korea remains unchanged, while the global average tariff rate has declined slightly.***

* Average tariff rates (based on 2024 U.S. import values): [Global] Pre-ruling 13.3% → Post-ruling 11.6% (-1.7%p)
[Korea] 13.6% → 13.6%(unchanged)

- The decline is concentrated in countries previously subject to fentanyl tariffs, such as China, or high reciprocal tariffs (Brazil, Indonesia, etc.).

☐ **[Tariff Assumptions] Upon expiration of the temporary tariff in late July, new tariffs are assumed to be imposed under alternative legal bases (e.g., Trade Act Section 301), and countries that saw a temporary reduction in tariff rates are assumed to revert to pre-ruling levels.***

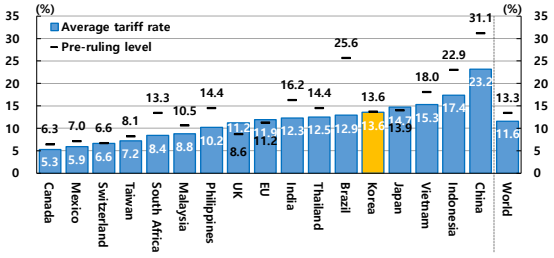
* This assumption reflects the fact that the U.S. government had already been preparing for the tariff invalidation ruling, and the need to maintain trade and investment agreements with major partners is expected to motivate restoration of the pre-ruling tariff framework.

▪ Regarding tariffs on semiconductors and pharmaceuticals, considering the recent surge in semiconductor prices and the resulting domestic price pressures in the U.S., the assumed timing of tariff imposition has been deferred from Q3 2026 to Q1 2027.

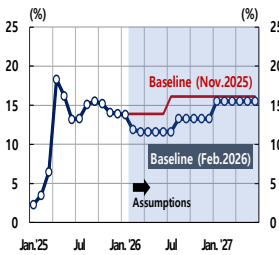
➞ **In 2026, South Korea's average tariff rate** is assumed to **remain at the current level,** while the **global average temporarily declines** before **reverting to the pre-ruling level** in the second half of the year. In 2027, global rates—including South Korea's—are projected to rise further with the imposition of tariffs on semiconductors and pharmaceuticals.

▪ Compared to the November 2025 assumptions, **the tariff rate path for 2026** is **slightly lower**, reflecting the nullification of reciprocal tariffs, imposition of temporary tariff, and postponement of levies on semiconductors and pharmaceuticals.

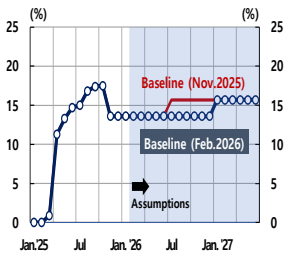
Change in average U.S. tariff rates by country[1)2)]



U.S. tariff (global) scenario[1)]



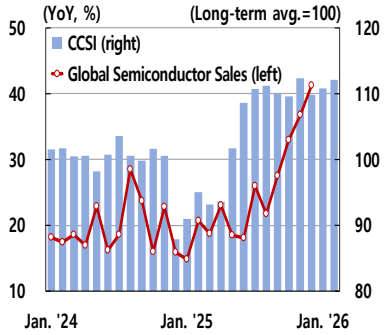
Tariff for Korea scenario[1)]



Notes: 1) Based on U.S. imports in 2024.
2) Current situation compared to before the ruling (—) (bars indicate after the imposition of a temporary 15% tariff).

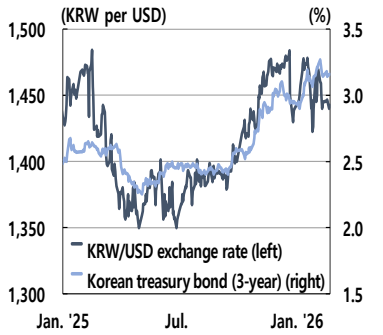
Projection Month	Key Assumptions of the Baseline Scenario
► November 2025	• Tariffs on Korea: reciprocal 15%, steel/aluminum/copper 50%, autos/parts 15% (from Nov. 2025), etc. • Semiconductor/pharmaceutical tariffs (15%) assumed from Q3 2026
► February 2026	• Tariffs on Korea: temporary tariff 15% (Feb. 24 – Jul. 24, 2026), replaced by alternative tariff 15% (from Jul. 24. 2026, substituting former reciprocal tariffs); steel/aluminum/copper 50%, autos/parts 15%, etc. remain • Semiconductor/pharmaceutical tariffs (15%) assumed from Q1 2027

Global Semiconductor Sales and CCSI



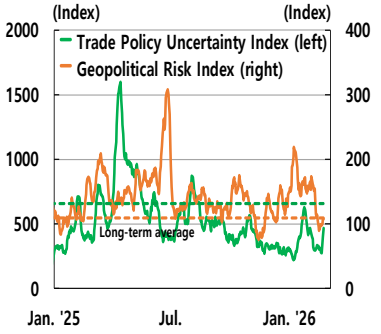
Sources: Bank of Korea, WSTS.

KRW/USD and the Treasury Yield



Sources: Bank of Korea, Korea Financial Investment Association.

External Uncertainty Indices[1)]



Note: 1) 7-day moving avg. of daily data.
Sources: Caldara et al. (2019, 2021).

Assumptions for the global economy[1)]

(%)	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[2)]	Year[2)]	H1	H2	Year	Year
Global economic growth[3)]	3.3	3.4	3.2	3.3 [3.0]	3.0	3.1	3.1 [2.9]	3.2 [3.1]
• United States	2.8	2.1	2.3	2.2 [1.9]	2.8	1.9	2.3 [2.1]	2.1 [2.0]
• Euro area	0.9	1.4	1.5	1.5 [1.3]	1.1	1.3	1.2 [1.1]	1.4 [1.4]
• China	5.0	5.3	4.6	5.0 [4.9]	4.5	4.6	4.6 [4.4]	4.4 [4.3]
Global trade growth[3)]	3.3	4.6	4.1	4.3 [3.6]	2.2	2.8	2.5 [2.4]	3.2 [3.0]
Brent oil prices[4)]	80	71	66	68 [69]	65	63	64 [63]	65 [65]

Notes: 1) Figures in [ ] are projections made in November 2025. 2) Figures for global economy and trade are projections.
3) Year-on-year. 3) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department

Economic Outlook

☐ **GDP growth in 2026 is projected at 2.0%, above the November forecast, supported by the strengthened semiconductor cycle upturn and a stronger-than-expected global economic backdrop, despite the impact of U.S. tariffs and a sluggish recovery in construction investment.**

- In **Q1** 2026, private consumption is expected to sustain its recovery, exports are projected to post strong growth led by semiconductors, and base effects from the previous quarter's contraction (-0.3%) – mainly in the investment component – are also at play. As a result, the growth rate is expected to significantly exceed the earlier projection of 0.3%, approaching 1% (0.9%).

- From **Q2 onward**, the consumption recovery is expected to expand gradually on the back of improving income conditions, while export growth should continue, supported by robust global AI investment and a stronger-than-expected global economic backdrop. However, the sluggish recovery in the non-IT sector, including construction, is expected to partially constrain growth.

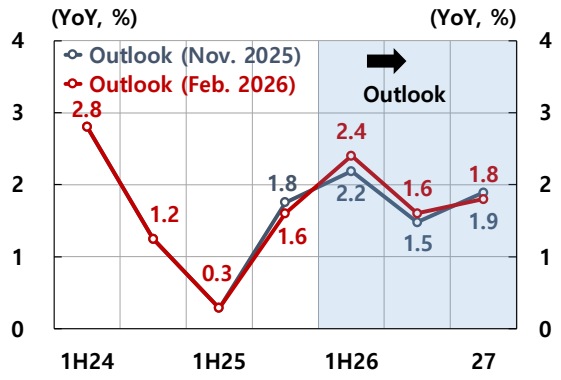
- In **2027**, domestic demand is expected to sustain its recovery, and exports should continue to increase on the back of ongoing global economic growth and expanded semiconductor production capacity, resulting in a solid growth rate of 1.8%.

Contribution by Expenditure Component

(%)	2024	2025	2026e)	2027e)
GDP	2.0	1.0 [1.0]	2.0 [1.8]	1.8 [1.9]
• Private consumption	1.1	1.3 [1.3]	1.8 [1.7]	1.8 [1.7]
• Goods exports	6.4	3.1 [2.9]	2.1 [1.4]	2.3 [2.4]
• Construction investment	-3.3	-9.9 [-8.7]	1.0 [2.6]	1.5 [1.9]
• Facilities investment	1.7	2.0 [2.6]	2.4 [2.0]	2.0 [1.9]

Note: 1) [ ] indicates forecasts as of November 2025.
Source: Research Department.

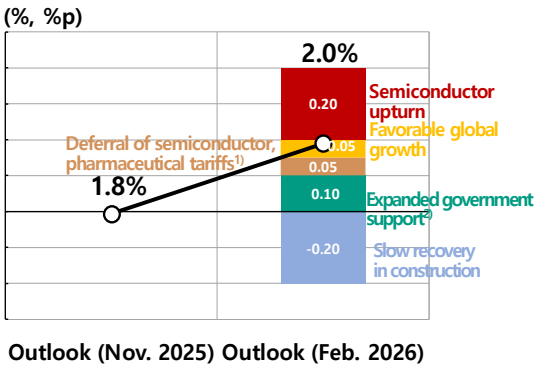
Outlook for GDP Growth



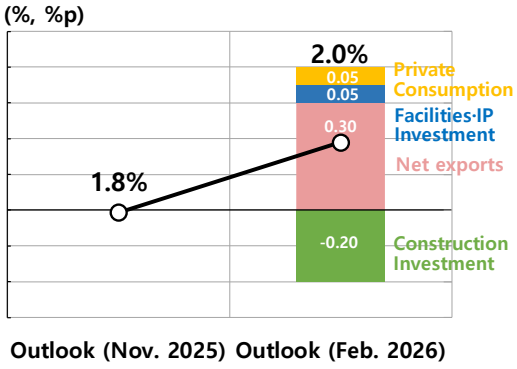
Source: Research Department.

☐ **The 0.2%p upward revision to 2026's GDP growth reflects the fact that, despite a drag from the sluggish construction recovery (-0.2%p), upward pressure was exerted by the semiconductor cycle upturn (+0.2%p), a stronger-than-expected global economy (+0.05%p), postponed imposition of semiconductor and pharmaceutical tariffs in the baseline assumption (+0.05%p), and government consumption and investment support measures (+0.1%p).**

Revision to GDP growth projection for 2026 (by main driver)



Revision to GDP growth projection for 2026 (by expenditure)



Notes: 1) Q3 2026 → Q1 2027.
2) The selection of investment targets for the National Growth Fund, the extension of the reduction in the individual consumption tax on automobiles, increased public institution investment, and expanded facility financing support.

☐ **For 2026, CPI inflation is projected to rise by 2.2%—slightly higher than anticipated in November—due to cost-push pressures on items such as electronic devices and insurance premiums, while demand-side pressures remain limited.**

* This reflects the ongoing negative GDP gap and polarized growth between IT and non-IT sectors (K-shaped recovery).

** Core inflation is forecast to reach 2.1% in 2026, up 0.1 percentage points from the prior projection of 2.0%.

- CPI inflation, which rose slightly to 2.4% in Q4 2025, is projected to stabilize near 2% in 2026 before reaching the 2.0% target in 2027.
- In January 2026, CPI inflation fell markedly from the prior month to 2.0% (December 2025: 2.3%), driven by a sharp retreat in the growth of petroleum product prices due to base effects and slower increases in agricultural, livestock, and marine prices amid favorable weather.

☐ **Current account surplus in 2026 is projected to reach USD 170 billion—well above the prior forecast path.**

- The **goods trade surplus** is projected to expand significantly due to sharp semiconductor price increases. The **service balance deficit** is expected to widen, driven by heightened demand for industrial services (e.g., patent royalties) amid economic recovery and rising digital service fees (e.g., platform subscriptions).

☐ **Employment growth is forecast to moderate slightly from 190,000 in 2025 to 170,000 in 2026, though sluggishness in private-sector hiring is expected to ease.**

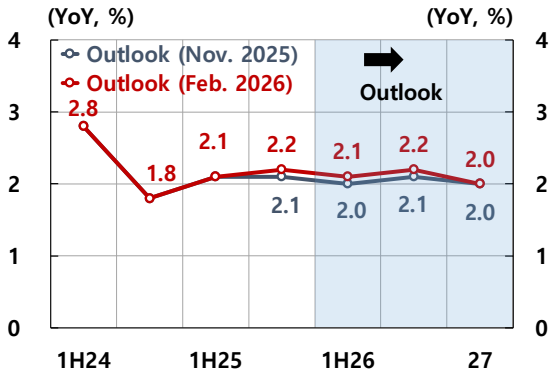
- Overall employment gains are expected to slow compared with 2025 due to a shrinking working-age population, but private-sector employment is projected to improve, supported by improving conditions in the services sector and gradual easing of construction weakness.
- On the employment projection path, upside risks include the government's youth employment measures, while downside risks stem from restructuring in certain business sectors.

Outlook for inflation, current account, and employment[1)]

	2024	2025	2026[e)]	2027[e)]
Headline inflation	2.3	2.1 [2.1]	2.2 [2.1]	2.0 [2.0]
• Core inflation	2.2	1.9 [1.9]	2.1 [2.0]	2.0 [2.0]
Current account (USD 100 million)	1,000	1,231 [1,150]	1,700 [1,300]	1,400 [1,200]
Change in number of employed persons (10,000 persons)	16	19 [18]	17 [15]	15 [15]

Note: 1) [ ] indicates forecasts as of November 2025.
Sources: Research Department, Ministry of Data and Statistics.

Outlook for headline CPI inflation



Sources: Research Department, Ministry of Data and Statistics.

Risks to the Outlook

☐ **The growth forecast path is subject to substantial uncertainty surrounding the semiconductor cycle, global trade environment, and international financial markets. For inflation, oil price and exchange rate movements constitute the key risk factors.**

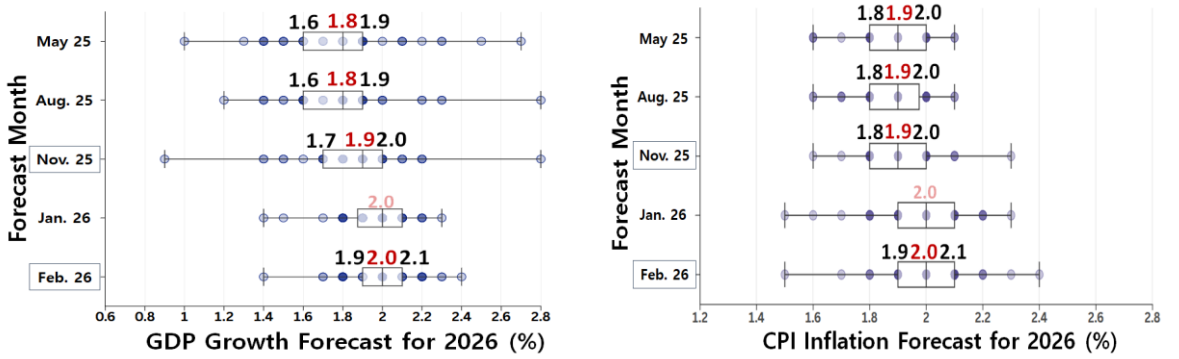
	Upside risks	Downside risks
GDP growth	▪Further expansion of semiconductor cycle upturn ▪Strengthened stimulus by domestic/foreign governments ▪Easing of trade environment uncertainty	▪Further escalation of U.S. tariff policy uncertainty ▪International financial market instability (AI overinvestment, fiscal concerns in major economies) ▪Deepened weakness in non-IT sector
CPI inflation	▪Intensified geopolitical instability ▪Persistence of elevated exchange rate	▪Deepened global crude oil oversupply ▪Strengthened government price stabilization measures

Distribution of GDP growth and CPI inflation forecasts

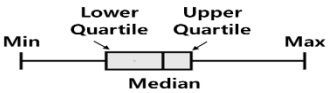
☐ **The median forecasts of major forecasting institutions for Korea's 2026 growth and inflation have been revised slightly upward since the November forecast round.** The median GDP growth forecast among market participants stands at 2.0%, up 0.1%p from the November forecast of 1.9%. The CPI inflation forecast has also risen 0.1%p from 1.9% to 2.0%.

Distribution of GDP growth and CPI inflation forecasts for 2026

GDP Growth[1)] CPI Inflation[2)]



Notes: 1) Based on 38 to 41 institutions.
2) Based on 28 to 37 institutions.
Source: Bloomberg (Data retrieved on February 9).



☐ **Market sentiment remains divided between expectations for an acceleration of AI industry growth and concerns about AI overinvestment. Against this backdrop, alternative scenarios for the trajectory of Korea's semiconductor exports were analyzed.**

* Under the baseline scenario, the growth rate of semiconductor export volumes is assumed to gradually decelerate from 16% in 2025 to around 10% in 2026 (7% assumed at the time of the November 2025 forecast) and around 8% (5%) in 2027.

- **Optimistic scenario (Sustained High Export Growth):** The proliferation of physical AI intensifies competition to secure semiconductors, and state-led AI initiatives accelerate, sustaining Korea's semiconductor export volume growth near the 2025 level. Under this scenario, **GDP growth** would be **0.2%p higher** in **2026** and **0.3%p higher** in **2027** relative to the baseline, while the **CPI inflation** rate would be **0.1%p higher** in **both years**.
- **Pessimistic scenario (Sharply Decelerating Export Growth):** AI profitability falls short of expectations, and physical bottlenecks such as power shortages intensify during data center expansion, causing semiconductor export volume growth to decelerate rapidly to around 6% in 2026 and around 3% in 2027. Under this scenario, **GDP growth** would be **0.2%p lower** in **2026** and **0.3%p lower** in **2027**, while the **CPI inflation** rate would be **0.1%p lower** in both years.

Assumptions for Semiconductor Exports by Scenario

	Key assumptions[1)]
Baseline	▶ Semiconductor export volume growth gradually decelerates. (2025: 16% → 2026: around 10% → 2027: around 8%)
Optimistic	▶ Export volume growth persists near the level in 2025 (16%).
Pessimistic	▶ Growth decelerates rapidly from around 6% in 2026 to around 3% in 2027.

Growth and Inflation Outlook by Scenario

GDP growth

(%, %p)	2025[e)]	2026[e)]	2027[e)]
Baseline projection	**1.0**	**2.0**	**1.8**
Optimistic scenario		**+0.2**	**+0.3**
Pessimistic scenario		**-0.2**	**-0.3**

CPI inflation

(%, %p)	2025[e)]	2026[e)]	2027[e)]
Baseline projection	**2.1**	**2.2**	**2.0**
Optimistic scenario		**+0.1**	**+0.1**
Pessimistic scenario		**-0.1**	**-0.1**

Note: 1) The figures are based on the semiconductor export volume index.
Source: Research Department.

Economic Outlook Summary (February 2026)

	2024	2025			2026e)			2027e)
	Year	H1	H2[1)]	Year[1)2)]	H1	H2	Year[2)]	Year[2)]
Main Premises of the Baseline Outlook								
Global economic growth (%)[3)]	**3.3**	3.4	3.2	**3.3**[+0.3]	3.0	3.1	**3.1**[+0.2]	**3.2**[+0.1]
• United States	**2.8**	2.1	2.3	**2.2**[+0.3]	2.8	1.9	**2.3**[+0.2]	**2.1**[+0.1]
• Euro area	**0.9**	1.4	1.5	**1.5**[+0.2]	1.1	1.3	**1.2**[+0.1]	**1.4**[-]
• China	**5.0**	5.3	4.6	**5.0**[+0.1]	4.5	4.6	**4.6**[+0.2]	**4.4**[+0.1]
• Japan	**-0.2**	1.8	0.3	**1.1**[-0.1]	-0.2	1.3	**0.6**[+0.1]	**0.8**[-]
Global trade growth (%)[3)]	**3.3**	4.6	4.1	**4.3**[+0.7]	2.2	2.8	**2.5**[+0.1]	**3.2**[+0.2]
Brent oil price (USD/barrel)[4)]	**80**	71	66	**68**[-1]	65	63	**64**[+1]	**65**[-]
Domestic economic outlook								
GDP growth (%)[3)]	**2.0**	0.3	1.6	**1.0**[-]	2.4	1.6	**2.0**[+0.2]	**1.8**[-0.1]
• Private consumption	**1.1**	0.7	1.9	**1.3**[-]	2.3	1.3	**1.8**[+0.1]	**1.8**[+0.1]
• Construction investment	**-3.3**	-12.2	-7.5	**-9.9**[-1.2]	-0.8	2.6	**1.0**[-1.6]	**1.5**[-0.4]
• Facilities investment	**1.7**	4.5	-0.4	**2.0**[-0.6]	2.4	2.3	**2.4**[+0.4]	**2.0**[+0.1]
• IPP investment	**1.2**	1.9	3.8	**2.9**[-0.1]	3.4	3.5	**3.5**[+0.4]	**2.6**[+0.1]
• Goods exports	**6.4**	1.7	4.4	**3.1**[+0.2]	3.5	0.8	**2.1**[+0.7]	**2.3**[-0.1]
• Goods imports	**1.3**	1.7	2.5	**2.1**[-0.2]	3.4	1.5	**2.5**[+0.1]	**2.6**[-]
Headline CPI inflation (%)[3)]	**2.3**	2.1	2.2	**2.1**[-]	2.1	2.2	**2.2**[+0.1]	**2.0**[-]
• Core inflation[5)]	**2.2**	1.9	1.9	**1.9**[-]	2.1	2.2	**2.1**[+0.1]	**2.0**[-]
Current account (USD 100 million)	**1,000**	479	752	**1,231**[+81]	863	837	**1,700**[+400]	**1,400**[+200]
• Goods	**1,109**	579	802	**1,381**[+179]	980	915	**1,896**[+510]	**1,592**[+304]
• Services	**-294**	-163	-182	**-345**[-31]	-200	-212	**-411**[-50]	**-414**[-35]
• Primary and secondary income	**185**	63	132	**195**[-66]	83	134	**216**[-59]	**221**[-70]
Change in number of employed persons (10,000 persons)[3)]	**16**	18	21	**19**[+1]	17	18	**17**[+2]	**15**[-]
Unemployment rate (%)	**2.8**	3.1	2.5	**2.8**[-]	3.1	2.6	**2.8**[-]	**2.8**[-]
Employment rate (%)[5)]	**62.7**	62.6	63.1	**62.9**[-]	62.7	63.2	**63.0**[+0.1]	**63.1**[+0.1]

Notes: 1) Figures for global economy and trade are projections.
2) Figures in [ ] show the changes from projections as of November 2025.
3) Year-on-year. 4) By period average. 5) Excluding food and energy.
Sources: Bank of Korea, Statistics Offices of each region, Bloomberg.

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

1.1. The global economy is projected to maintain solid growth in the low-3% range, supported by the AI investment boom and accommodative monetary and fiscal policies in major economies. However, forecast uncertainty has increased following the U.S. Supreme Court`s ruling that nullified the reciprocal tariffs. In the fourth quarter of 2025, U.S. growth slowed markedly due to the federal government shutdown from October 1 to November 12, although private consumption and investment remained robust. The euro area maintained gradual growth, supported mainly by domestic demand from consumption and services. Meanwhile, China's growth moderated somewhat due to weak exports alongside subdued domestic demand.

Global economic growth in 2026 is projected to be in the low 3% range, revised upward from the November forecast, supported by strong AI demand and accommodative monetary and fiscal policies across major economies. Notably, expanded AI infrastructure investment[1] (e.g., data centers) by U.S. big tech companies is projected[2] to strengthen U.S. domestic demand and IT exports from Asia. Meanwhile, accommodative monetary policy (reflecting prior rate cuts) and expansionary fiscal measures—including the U.S. OBBBA, Germany's EU ReArm, and Japan's December 2025 comprehensive economic package—will underpin growth. However, the U.S. Supreme Court ruling[3] nullifying the reciprocal tariffs, and the subsequent temporary 15% global tariff, have raised concerns over tariff policy[4] and heightened global growth uncertainty.

Global trade growth is expected to moderate somewhat. In 2025, it remained relatively robust, driven by the AI demand boom and frontloading effects. In 2026, however, the impact of tariffs—amid elevated uncertainty in the global trade environment—is expected to weigh on growth. In particular, uncertainty surrounding the trajectory of U.S. tariff policy may complicate corporate export and investment planning, posing downside risks to global trade flows.

Going forward, key risks to global growth include AI industry developments, China's economic trajectory, and U.S. tariff policy uncertainty (across product and country). In 2026, the AI industry faces both optimism and pessimism regarding whether tangible profit and productivity gains will be achieved and the

[1] The AI infrastructure boom is projected to boost non-IT demand (e.g., power and cooling).

[2] The 2026 CAPEX forecasts for the top five U.S. big tech companies have risen from about USD 500 billion at the end of 2025 to USD 630 billion in February 2026 (Bloomberg, February 10).

[3] Following the U.S. Supreme Court's February 20 ruling nullifying the IEEPA-based tariffs, the Trump administration temporarily enacted a 10% global tariff (effective for 150 days from February 24) under Section 122 of the Trade Act of 1974. Procedures are now underway to raise this to 15% under the same authority. Consequently, the U.S. average tariff rate fell from 13.3% to 11.6%.

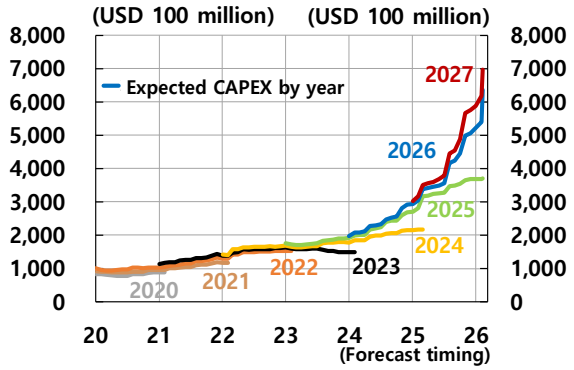
[4] Immediately after the ruling, President Trump stated at a White House press conference that he would rely on five legal authorities for potential tariff actions: Sections 122, 201, and 301 of the Trade Act, Section 232 of the Trade Expansion Act, and Section 338 of the Tariff Act of 1930. Given the need under these provisions to substantiate "unfair" or "discriminatory" practices and resulting injury to U.S. commerce, and in light of heightened partisan tensions ahead of the U.S. midterm elections, the path from this announcement to the actual imposition of tariffs is expected to be highly contentious and procedurally challenging.

existence of electricity supply constraint. If AI industry growth accelerates—in both scale and quality—alongside the diffusion of physical AI, it could generate positive supply shocks to global growth and prices. Conversely, heightened AI pessimism could trigger sharp corrections in global stock market[5] and a pullback in infrastructure investment, undermining a key driver of global growth centered in the United States.

Furthermore, questions remain over the sustainability of China's export-led growth. Recently, China reached its 5% growth target amid weak domestic demand by boosting exports (5.8% in 2024 and 5.5% in 2025) via diversification and low pricing. However, heightened global caution toward China's 2025 trade surplus of USD 1.2 trillion could constrain growth forecasts for 2026 and 2027. Meanwhile, major Western countries have recently sought closer ties with China to counter the Trump administration's "America First" trade policies.[6] Combined with robust domestic demand-boosting measures outlined at China's Two Sessions this March, these developments represent an upside risk to China's growth outlook.

U.S. big tech investment expected to remain solid

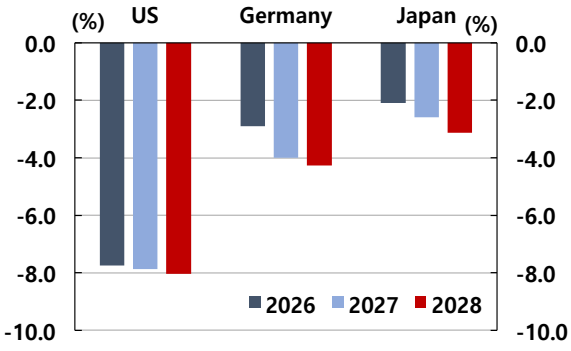
Figure 1.1. U.S. big tech[1)] CAPEX forecast



Notes: 1) Aggregate CAPEX of Amazon, Microsoft, Google, Meta, and Oracle.
2) Lines show CAPEX expectation for each spending year (year labels = spending year).
Source: Bloomberg.

Major economies are likely to continue their expansionary fiscal stance

Figure 1.2. Primary fiscal balance of major countries[1)]



Note: 1) Ratio of primary fiscal balance to potential GDP.
Sources: IMF, World Economic Outlook.

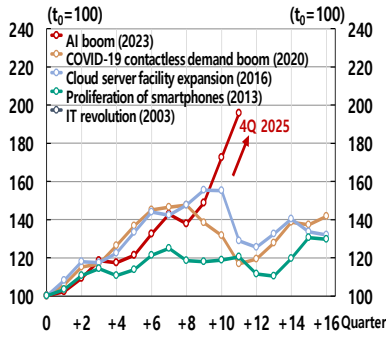
[5] Big tech companies, previously funding AI investments from cash reserves, have recently turned to massive bond issuance, heightening financial stability risks.

[6] In 2026, Western leaders—including Ireland's Taoiseach Micheál Martin (January 4), Canada's Prime Minister Mark Carney (January 14), Finland's Prime Minister Petteri Orpo (January 25), the UK's Prime Minister Keir Starmer (January 27), and Germany's Chancellor Friedrich Merz (late February, as scheduled)—have moved swiftly to visit China to discuss key global issues, spanning trade and investment, energy and climate, and security.

1.2. The global semiconductor sector is expected to maintain solid above-trend growth, as demand continues to expand significantly amid the evolution of AI technologies from training to inference and the broadening range of AI applications, including physical AI.[7] In the fourth quarter of 2025, global semiconductor sales continued to increase sharply, as HBM remained robust and prices of general-purpose semiconductors also rose steeply amid supply shortages and stronger server demand. In addition, semiconductor demand has been increasing substantially, both quantitatively and qualitatively, driven by advances in AI technologies, the expansion of physical AI applications such as autonomous driving and robotics, and intensifying competition among global tech firms. By contrast, the production capacity of semiconductor manufacturers has been expanding at a relatively more moderate pace than in previous cycles, as the current upturn is being led by made-to-order high-performance semiconductors. Thus, the global semiconductor sector is projected to remain on a solid above-trend path at least through 2026, supported by strong demand and tight supply conditions. The outlook is characterized by sizable risks on both sides, including upside risks such as a faster-than-expected diffusion of physical AI and downside risks such as adjustments in AI investment and the imposition of U.S. tariffs.

Global semiconductor sales continue to grow rapidly in Q4 2025

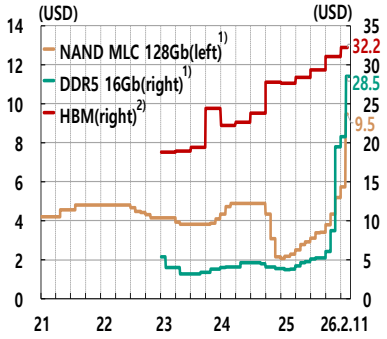
Figure 1.3. Semiconductor expansion periods since 2000[1)]



Note: 1) Based on global semiconductor sales. t_0 is start of upcycle.
Source: WSTS.

Semiconductor prices rise sharply, led by general-purpose chips

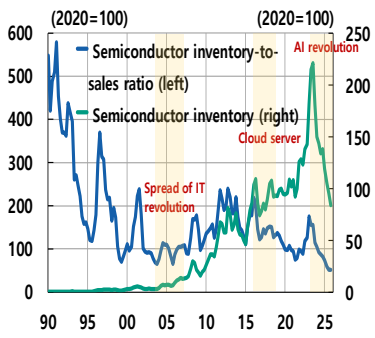
Figure 1.4. Memory chip prices



Notes: 1) Based on contract prices.
2) Weighted average of all HBMs (per 16Gb)
Sources: DRAMeXchange, Gartner.

Capacity growth lags demand, driving sharp inventory declines

Figure 1.5. Ratio of semiconductor inventory to sales[1)]



Note: 1) Shaded area indicates major expansions.
Source: Ministry of Data and Statistics.

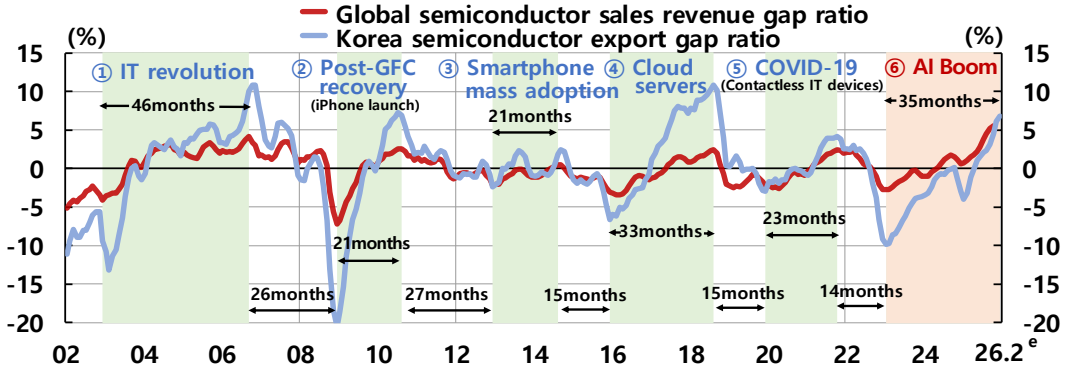
[7] For details, refer to "FYI 1. AI Technology Advances and Semiconductor Outlook."

FYI 1 AI Technology Advances and Semiconductor Outlook

The current global semiconductor upcycle, which began in March 2023 and has been driven by AI-related demand, is exhibiting the strongest momentum since the early 2000s. Recent volatility in global equity markets suggests that optimism about the AI industry continues to coexist with concerns. Nonetheless, as the diffusion of AI appears to be structural in nature, the underlying uptrend in the semiconductor cycle—an integral part of the AI ecosystem—is likely to remain intact.

In particular, the semiconductor cycle is expected to remain robust at least through this year, supported by (1) the structural expansion in semiconductor demand driven by both the quantitative and qualitative expansion of AI, (2) preemptive investment by major technology firms, and (3) still-favorable conditions for chip suppliers. That said, the outlook is subject to both material upside and downside risks, including faster-than-expected diffusion of physical AI on the upside and potential adjustments in AI-related investment on the downside.

Figure 1. Semiconductor business cycle since the 2000s



Note: 1) After log-transforming semiconductor sales revenue, the long-term linear trend is estimated and the gap ratio is calculated.
Sources: WSTS, Korea Customs Service, authors' own estimation.

(1) Structural Expansion of Semiconductor Demand Driven by AI Industry Growth

① Evolution of AI models: from training to inference, and from text to multimodal models

AI has moved beyond a training-centered phase and is increasingly being deployed in real-world applications, while also becoming more sophisticated in performing multi-step inference across a wide range of domains. Since the emergence of ChatGPT in 2022, AI models have significantly enhanced their capabilities by drawing on vast bodies of human knowledge. At this stage, high-performance semiconductors—particularly high-bandwidth memory (HBM), which enables the rapid processing of large volumes of data—have played a critical role.

As AI advances from simple response generation to more complex, multi-step reasoning, the need to repeatedly store and retrieve intermediate results has become more important. **This has led to a broad-based expansion in demand across memory semiconductors.[8] In addition, AI is evolving beyond text-based large language models (LLMs) toward multimodal models capable of processing video and speech alongside text, further driving demand for high-performance memory and computing semiconductors, including HBM.**

[8] As AI inference functions advance—increasing the required information processing per item—demand has risen for temporary storage memory chips (HBM and DDR5) essential to the inference process. Meanwhile, with rising storage volumes for AI generation data, demand for non-volatile NAND memory is also expanding.

② **Broadening range of AI applications: physical AI and agentic AI**

AI is expanding beyond digital interfaces into physical environments, including autonomous vehicles and robotics. **As physical AI requires precise simulation of complex real-world conditions and real-time processing, it not only raises demand for high-performance computing[9] but also increases demand for low-power semiconductors.**

At the same time, **the spread of agentic AI is accelerating the expansion of edge computing**—where data are processed locally on devices—alongside large-scale computation centered on data centers. As a result, **semiconductor demand is becoming more diversified, with increasing demand for customized chips.[10]**

(2) Big Tech CapEx Acceleration: Extending through 2027

As competition to secure technological leadership intensifies amid expectations of sustained AI industry growth, major technology firms are stepping up investment on a preemptive basis. Given the implementation timelines of AI infrastructure projects already underway, including data centers, the current investment cycle is likely to extend at least through 2027.

Data center expansion by major technology firms is proceeding alongside efforts to strengthen power generation and transmission infrastructure. In addition, policy support and initiatives to expand power capacity in major economies—including the United States, China, and the EU—are underpinning the sustainability of investment over the medium term.

Reflecting these developments, production capacity expansion plans by major semiconductor firms, including those in Korea, have already been largely specified through the first half of 2027.

Table 1. Infrastructure investment by major big tech firms

Firm	Key investment areas (investment schedule)	CapEx (USD 100 million)
Amazon	· AWS AI infrastructure (~2028, 40%), custom chips, robotics, LEO satellites (2024-2028)	25 **26e** **27e** 127 → **154** → **194**
Google	· TPU-based AI data centers (2024-2027)	92 → **128** → **142**
Microsoft	· Azure AI, OpenAI Stargate (2025-2028)	77 → **110** → **130**
Meta	· Llama GPU training (2024-2026), AI ad systems	70 → **113** → **129**

Sources: company reports, Bloomberg.

Table 2. Power infrastructure support plans of major countries

Country	Policy support
United States	• Data center expansion in national strategy • Streamlined licensing/permit procedures
China	• CNY 4 trillion (approximately KRW 842 trillion) power grid investment through 2030
EU	• EUR 200 billion AI infrastructure plan through 2030 (EU fund: EUR 50 billion, private: EUR 150 billion; approximately KRW 342 trillion)

Sources: White House, CSF, European Commission.

(3) Favorable Conditions for Suppliers: Stronger Pricing Power and Improved Risk Management

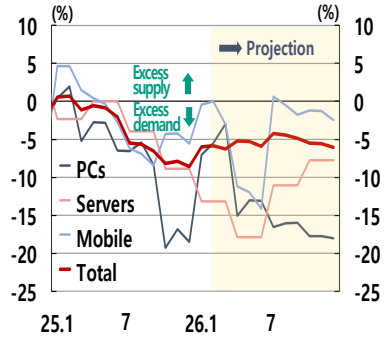
As the share of made-to-order, high-performance semiconductors such as HBM has increased relative to previous cycles, and as capacity expansion has focused more on qualitative upgrading than on quantitative expansion, supply continues to lag behind demand. Semiconductor firms are expanding production capacity in response to AI-related demand. However, given the substantial time required for construction and yield stabilization, effective supply expansion is likely to proceed only gradually.

[9] For example, a single autonomous vehicle generates approximately 32TB of data per day through image collection. This volume is more than 26,000 times the daily data consumed by the average smartphone user (approximately 1.2GB). (Ministry of Science and ICT, Nvidia)

[10] Major hyperscalers are developing proprietary AI chips to optimize performance and ensure cost and supply chain stability.

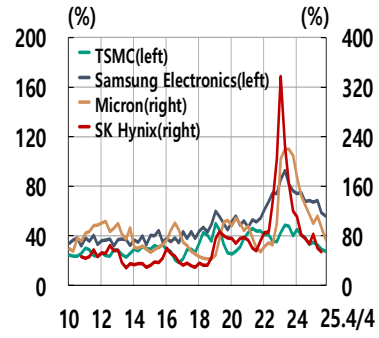
In addition, as some legacy production lines for general-purpose semiconductors are being converted to leading-edge processes for products such as HBM, supply in certain segments has declined significantly, contributing to a sharp increase in prices. Against this backdrop, semiconductor firms are strengthening the binding nature of supply contracts[11] while also adopting production and inventory management strategies more closely aligned with actual demand[12], reflecting lessons from previous downcycles. As a result, inventory-to-sales ratios at major semiconductor firms have remained stable.

Figure 2. DRAM supply-demand ratio[1)]



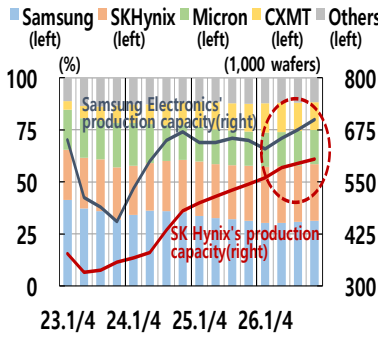
Note: 1) (Supply - demand) / demand.
Source: TrendForce.

Figure 3. Inventory-to-sales ratio of major semiconductor companies[1)]



Note: 1) Inventory assets / sales on consolidated financial statements.
Source: Bloomberg.

Figure 4. DRAM production capacity and share of global semiconductor companies[1)2)]



Notes: 1) Including overseas factories for global companies.
2) Based on monthly average wafer input.
Source: TrendForce.

Although the current semiconductor upcycle is underpinned by AI industry growth and tangible increases in corporate investment, the associated risks are also significant. Even if expectations for the structural growth of the AI industry are broadly maintained, market market sentiment could shift rapidly as the profitability of AI-related investment comes under closer scrutiny. For example, abrupt technological changes or shifts in the competitive landscape could quickly reset market expectations and trigger heightened volatility.[13] Such shifts may, in turn, lead to adjustments in capital expenditure plans, thereby amplifying fluctuations in semiconductor demand. It is also worth noting that, historically, semiconductor cycles have often turned abruptly alongside shifts in sentiment, rather than through a gradual moderation. Over a longer horizon, it will also be important to consider the possibility that the competitive edge of Korean firms could erode as Chinese semiconductor companies expand their market share and enhance their technological capabilities.[14]

[11] Basically, the growing share of application-specific integrated circuits (ASICs) is strengthening the binding force of supply contracts, while general-purpose chips are seeing longer-term contracts due to excess demand. According to industry sources, amid strong demand, semiconductor supply contracts for 2026 have been largely finalized, with negotiations for Q1 2027 already underway (TrendForce (January 2026) and media reports).

[12] In past upcycles, overbooking led to inventory accumulation and sudden downturns. However, during the current cycle, chip suppliers are prioritizing AI product allocations first and verifying final customer information for general-purpose chips—which exhibit higher overbooking rates—before confirming volumes (TrendForce, January 2026; cited by Nikkei Asia).

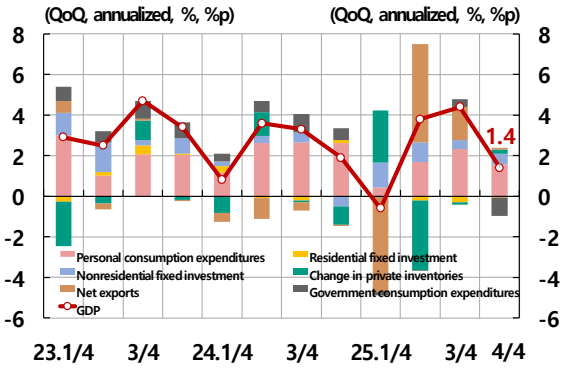
[13] Following Anthropic's official launch of its agentic AI tool, Claude Cowork, on January 12, 2026, the stock prices of software companies plunged amid fears of industry disruption. From January 13 to February 18, the S&P 500 Software & Services Index (SPLRCIS) declined by 19.1%. Some analysts, however, argued that market concerns over AI displacing traditional software may be overstated (JP Morgan and Jensen Huang).

[14] Amid global shortages of general-purpose semiconductors, Chinese firms are gaining market share by overcoming the disadvantages of less-advanced processes (lower yields) through government subsidies and aggressive pricing. hey are using the capital and time thus secured to advance technology and expand production capacity**.** Their global production share (wafer input basis, TrendForce) increased as follows: DRAM from 12.2% (end of 2024) → 15.3% (end of 2025) → 15.4% (end of 2026)[e)]; NAND from 8.3% → 11.7% → 15.0%[e)].

1.3. By major economies, the U.S. economy is projected to exhibit solid growth in 2026, supported by increasing AI-related investment, expansionary fiscal policy (OBBBA), and easing financial conditions. In the fourth quarter of 2025, U.S. economic growth slowed markedly, due to the federal government shutdown from October 1 to November 12. However, consumption and investment growth remained favorable, supported by stable household income and asset conditions, as well as expanding AI investments. In light of these developments, the Federal Reserve kept the policy rate unchanged at 3.5% to 3.75% in January. However, market expectations for rate cuts have generally been maintained[15], reflecting easing concerns[16] over upward price pressures. In 2026, consumption growth is expected to moderate amid still-elevated price levels. Meanwhile, increased corporate investment under favorable policy conditions is likely to underpin U.S. economic growth. Looking ahead, uncertainty surrounding tariff policy has increased following the Supreme Court's ruling invalidating the reciprocal tariffs. Upside risks include a further acceleration of AI investments and increased investment in the U.S. by major economies, while downside risks encompass a sharp adjustment in AI investment and an escalation in trade disputes.

U.S. growth slows due to the shutdown in Q4

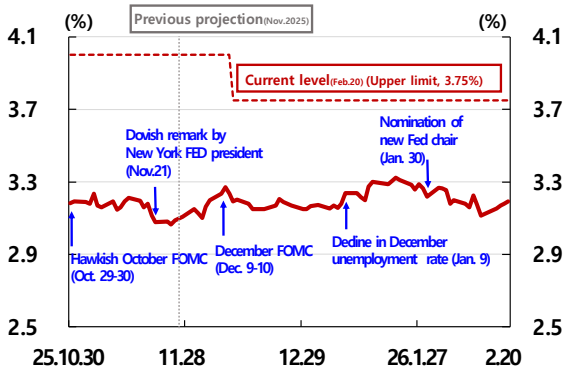
Figure 1.6. U.S. GDP growth rate and contributions



Source: BEA.

Expectations for rate cuts persist

Figure 1.7. Change in policy rate expectations for December 2026[1)]



Note: 1) Federal Funds futures-implied policy rate upper limit.
Source: CME FedWatch.

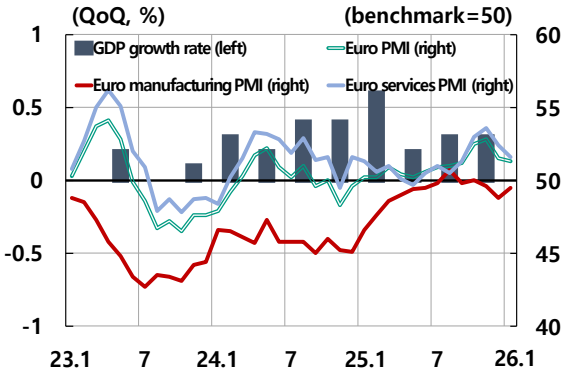
[15] Markets are monitoring uncertainty over potential Fed policy shifts following the nomination of successor Federal Reserve Chair Kevin Warsh (January 31) and stronger-than-expected January 2026 employment data (nonfarm payrolls +130,000 m/m). Rate cut expectations in 2026 nonetheless have generally been maintained.

[16] ► CPI inflation rate (year-on-year, %): Jul. 2025 2.7 → Sep. 2025 3.0 → Nov. 2025 2.7 → Jan. 2026 2.4

1.4. The euro area economy is projected to maintain a domestic demand-led growth trajectory, supported by accommodative monetary policy and expansionary fiscal measures, although the pace of growth is likely to remain gradual amid constraints from the trade environment. In the fourth quarter of 2025, the euro area economy grew by 0.3% quarter-on-quarter, driven mainly by domestic demand[17], particularly private consumption and services activity. This largely reflects improved real income conditions amid solid employment conditions, along with historically low unemployment[18] and slowing inflation.[19] In 2026, the euro area economy is expected to continue improving, boosted by ongoing financial easing, expansionary fiscal policies in major euro area countries, including Germany, and rising real incomes, although headwinds from trade restrictions such as U.S. tariffs and euro appreciation will weigh on growth. Looking ahead, upside risks include further fiscal expansion in major countries and a possible end to the Russia-Ukraine war, while downside risks encompass renewed[20] trade tensions with the U.S. and rising concerns over fiscal sustainability.

Euro area growth led by services in Q4

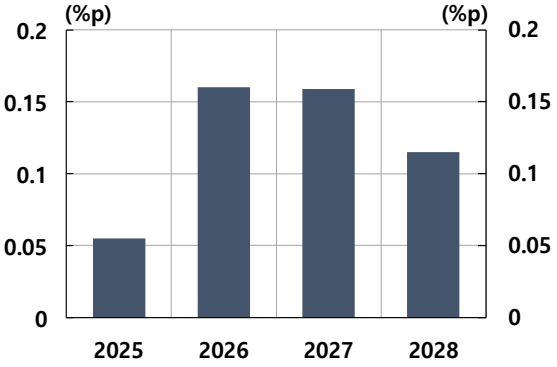
Figure 1.8. Euro area GDP and PMI



Source: Eurostat.

Fiscal expansion in defense to boost growth

Figure 1.9. Euro defense and infrastructure spending contribution to GDP growth[1)]



Note: 1) Projection as of December 2025.
Source: ECB.

[17] ► Retail sales (quarter-on-quarter, %): 2025 Q1 0.5 → Q2 0.8 → Q3 0.3 → Q4 0.4.
► Service sector PMI (S&P): Q2 2025 50.1 → Q3 50.9 → Q4 53.0 → Jan. 2026 51.6.

[18] ► Unemployment rate (monthly average, %): Q1 2025 6.3 → Q2 6.3 → Q3 6.3 → Q4 6.2 (lowest since Euro launch).

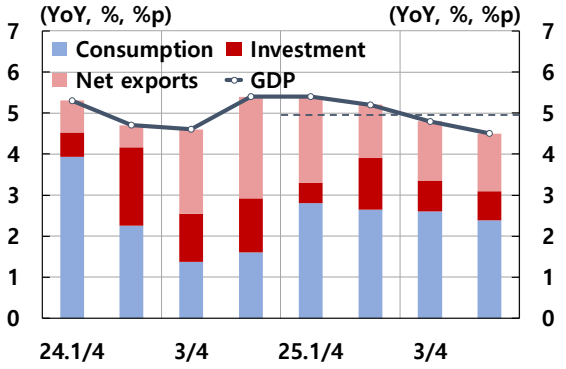
[19] ► CPI inflation rate (year-on-year, %): Jun. 2025 2.0 → Aug. 2025 2.1 → Oct. 2025 2.1 → Dec. 2025 2.0 → Jan. 2026 1.7.

[20] On January 17, the Trump administration announced a 10% additional tariff on eight EU countries amid the Greenland dispute, only to withdraw it at the Davos Forum on January 21. Following the Supreme Court's ruling invalidating on reciprocal tariff, uncertainty over U.S. trade policy has heightened.

1.5. China's economic growth is projected to slow to the mid-4% range, as domestic demand remains weak amid the property sector downturn and exports growth moderates. In the fourth quarter of 2025, China's economic growth moderated from the prior quarter as domestic demand weakened further—particularly investment—but met the annual government target of 5.0% thanks to robust exports.[21] Looking ahead, China's growth is expected to remain subdued, as the property market has yet to show clear signs of recovery and export momentum fades amid major countries' curbs on low-priced China's goods.[22] However, the slowdown is likely to be partially offset by export diversification to the EU, ASEAN, and Africa, alongside government measures to boost domestic demand. Looking ahead, amid heightened uncertainty from U.S. tariff policies and U.S.-China trade talks, China faces upside risks from potentially robust government stimulus[23] and downside risks from deepening property market woes and investment contraction amid industrial restructuring.

China achieves 5% GDP growth on robust exports

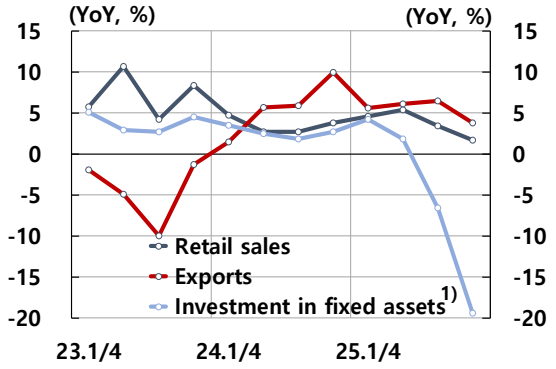
Figure 1.10. China's GDP growth[1)] and sectoral contributions



Note: 1) Dotted line indicates 2025 annual GDP growth rate.
Sources: National Bureau of Statistics of China, Research Department.

Investment contraction to curb pace of growth

Figure 1.11. China's retail sales, investment, and exports



Note: 1) Haver estimates.
Sources: National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China, Haver.

[21] While China's major real economic indicators (retail sales, investment, exports, etc.) remain unreleased in 2026, the National Bureau of Statistics' manufacturing PMI has stalled amid weak domestic and external demand (50.1 in Dec. 2025 → 49.3 in Jan. 2026).

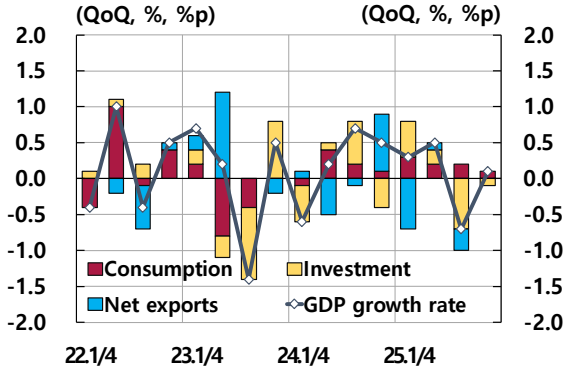
[22] In 2025, the EU's trade deficit with China widened significantly, from USD 246.7 billion in 2024 to USD 291.9 billion in 2025. In December 2025, French President Macron warned of strong measures—including high tariffs—if China did not address the issue. In February 2026, France's High Commissioner for Strategy and Planning (HCSP) recommended that the EU impose 30% tariffs on China's goods or depreciate the euro against the yuan by 30% to counter low-priced China's exports.

[23] The China's government continued to prioritize the expansion of domestic demand at its Central Economic Work Conference in December 2025, as it did the previous year. Markets anticipate a weakening contribution from the external sector (e.g., exports) in 2026 and expect the government to counter this with the more active domestic demand measures—including service sector support and consumer goods purchase subsidies (e.g., for replacing old durables and equipment)—announced after the Two Sessions in March.

1.6. Japan's economy is forecast to grow at its potential rate of around 0.5% to 0.6%. In the fourth quarter of 2025, GDP grew 0.1% quarter-on-quarter, shifting to positive territory from the contraction in the third quarter, driven by domestic demand recovery. Housing construction investment rebounded, supported by base effects after prior sluggishness. Private consumption recorded growth for the seventh consecutive quarter, driven by improved employment and incomes. Exports faced downward pressure from post-frontloading adjustments on a customs clearance basis. However, December exports hit a record JPY 10.4 trillion (+5.1% year-on-year), driven by robust demand for electronic parts and semiconductors.[24] Going forward, Japan's economy is projected to see consumption recovery, backed by easing inflation and expansionary fiscal policy[25] that boosts household disposable income, alongside rebounding exports. On its growth path, upside risks include further fiscal spending expansion and stronger-than-expected global semiconductor demand. Downside risks involve protracted geopolitical conflicts with China and rising financial market volatility[26] over fiscal soundness concerns.

Japan: gradual recovery in Q4 after Q3 contraction

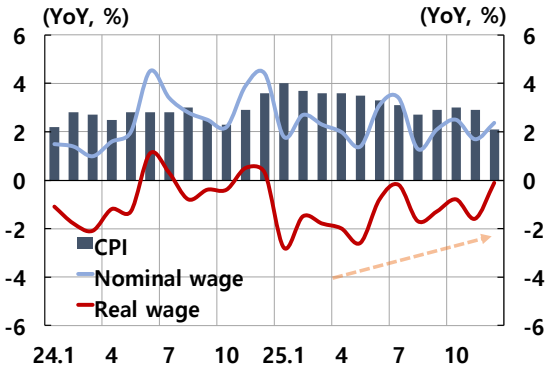
Figure 1.12. GDP growth rate and contributions in Japan



Source: Cabinet Office of Japan.

Gradual real income gains amid declining inflation

Figure 1.13. Consumer price inflation and wage growth in Japan



Sources: Ministry of Internal Affairs and Communications, Ministry of Health, Labor and Welfare.

[24] Export growth rate on a customs clearance basis (year-on-year, %): +7.4 in Q1 2025 → +0.0 in Q2 → +0.4 in Q3 → +4.9 in Q4.

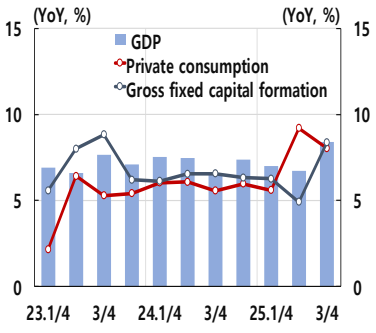
[25] Since the Liberal Democratic Party (LDP) secured a supermajority (316 seats) in the February 8, 2026, Lower House election, Prime Minister Sanae Takaichi was reelected. Her "Sanaenomics" expansionary fiscal policy—featuring temporary food consumption tax exemptions, cash transfers, and public investment—is set to continue.

[26] The Bank of Japan (BOJ) has pursued gradual monetary normalization since 2024 via policy rate hikes and tapering JGB purchases. Meanwhile, the government maintains expansionary fiscal spending, widening the fiscal-monetary policy gap. Market uncertainty over this divergence spiked long-term rates in January 2026, with 40-year JGB yields hitting 4.2%, the highest since 2007.

1.7. Asian emerging market economies (EMEs) are projected to achieve solid GDP growth. India's economy has recently shown solid domestic demand-led growth. This is supported by tax reforms boosting disposable income[27] and expanded infrastructure spending,[28] amid U.S. tariff uncertainty. ASEAN-5 growth remains favorable, supported by robust AI and electronics exports[29] and FDI inflows tied to global supply chain diversification. Looking ahead, Asian EMEs are forecast to sustain growth through governments' active stimulus measures, despite external trade uncertainties from U.S. tariffs and policy shifts. India is expected to maintain its strong growth through expanded fiscal spending on agriculture[30] and infrastructure, plus improved trade ties via the EU FTA signed on January 27, 2026. ASEAN-5 economies are projected to maintain growth through rising public sector investment.[31] However, Asian EMEs face risks from heightened financial market volatility and widening trade imbalances with the U.S. and China.

India: resilient domestic demand-led growth

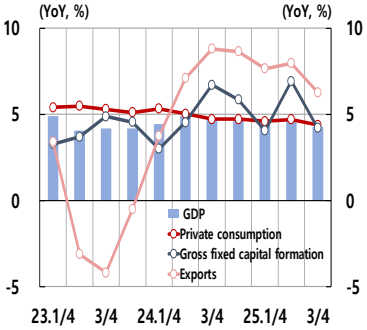
Figure 1.14. Growth rate by expenditure component in India



Source: Ministry of Statistics and Programme Implementation of India.

ASEAN: growth driven by export strength

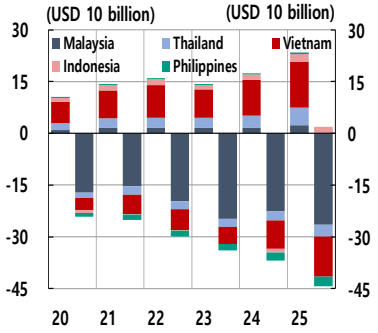
Figure 1.15. GDP growth rates of four ASEAN countries[1)]



Note: 1) Excluding Vietnam.
Sources: Statistics offices in each area, Haver.

ASEAN: widening trade imbalances vis-à-vis the US and China

Figure 1.16. ASEAN-5 trade balance with U.S. and China[1)]



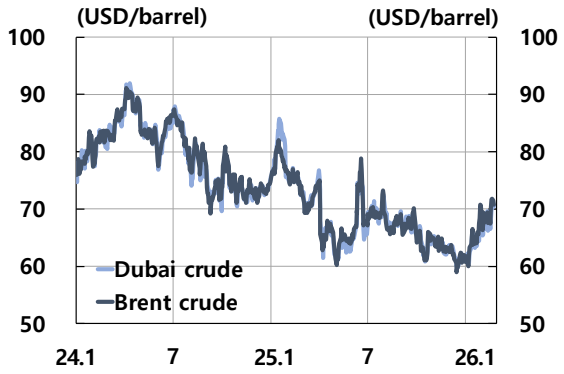
Note: 1) Left bars (by year) show trade balance with the U.S., while right bars show trade balance with China.
Source: CEIC.

[27] India boosted mid-income consumption by hiking the standard deduction (INR 50,000 → 75,000, new regime) and adjusting tax slabs to exempt income.
[28] India's capital expenditure (CapEx) for FY 2025 reached INR 11.1111 trillion, up 11.1% YoY (3.4% of nominal GDP), primarily allocated to state-led infrastructure, including roads, railways, and renewable energy.
[29] ASEAN-5 export growth rate on a customs clearance basis (year-on-year, %): 17.8% in Sep. 2025 → 11.2% in Oct. → 9.1% in Nov. → 19.1% in Dec.
[30] India supplements farmers' incomes through public employment guarantees and invests in critical infrastructure, including: irrigation, water resources, farm roads, and storage.
[31] Malaysia is ramping up digital infrastructure investment, particularly in data centers for global hyperscalers. Meanwhile, Vietnam is boosting public infrastructure investment in transportation (roads, ports, and railways) and energy (power grids). Indonesia is expanding its strategic industry/resource investments via the Danantara sovereign wealth fund.

1.8. Global oil prices (Brent crude) have risen sharply due to escalating military tensions between the U.S. and Iran, but are expected to decline gradually over the year reflecting persistent excess supply. In 2026, global oil prices climbed to around USD 70/barrel amid escalating Middle East geopolitical tensions,[32] temporary U.S./Kazakhstan supply disruptions,[33] and struggling Russia-Ukraine talks.[34] Going forward, global oil prices face short-term uncertainty from U.S.-Iran negotiation impasse and geopolitical risks but downward pressure from persistent excess supply as major producers maintain increasing output.

Global oil prices have recently risen to around USD 70/barrel

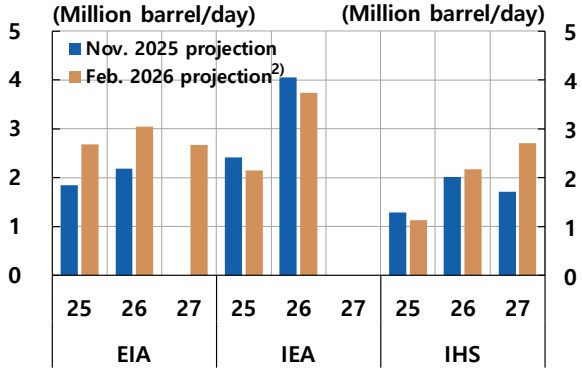
Figure 1.17. Global oil prices



Source: Bloomberg.

High excess supply of global crude is expected

Figure 1.18. Global crude oil surplus projections[1)]



Notes: 1) IEA projection unavailable for 2027.
2) IHS figures are based on January projections.
Source: each institution.

[32] Iran and the U.S. held indirect talks in Oman on February 6, 2026, mediated by Oman. Iran focused solely on its nuclear program, while the U.S. demanded limits on missile ranges and an end to Iran's support for the Axis of Resistance (Iran-backed proxies). The second round in Geneva on February 17 reaffirmed only basic principles. On the same day, Iran temporarily closed parts of the Strait of Hormuz for military drills, heightening tensions.

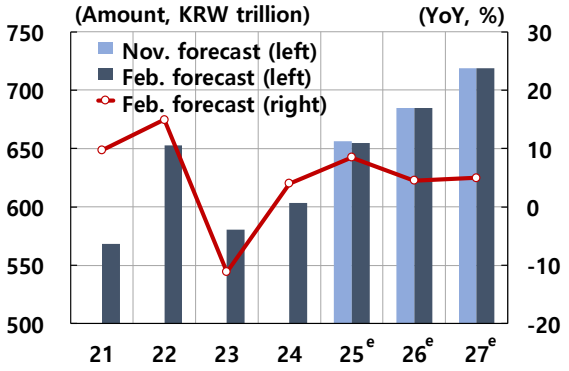
[33] In Kazakhstan, fires at Tengiz oilfield power facilities (2025 output: 860,000 bpd) halted production on January 19, 2026. In the U.S., a winter storm disrupted petroleum production on January 26.

[34] In Geneva, Russia-Ukraine talks (February 17-18, 2026) ended after two days without any breakthrough, stalled by territorial disputes. Further negotiations remain possible, but no dates have been set.

1.9. The central government's consolidated fiscal expenditure is expected to continue expanding. Fiscal expenditure for 2026 is likely to grow at a rate exceeding the long-term average,[35] given the National Assembly-approved budget of KRW 727.9 trillion. The government will concentrate fiscal spending in the first half of the year under its public-sector prompt execution plan, though the pace is expected to slow compared to 2025 (public-sector prompt execution plan: 62.7% → 60.1%). From a revenue perspective, the tax shortfall ended in 2025,[36] after three consecutive years. In 2026, fiscal expenditures are unlikely to face difficulties, given the high likelihood of excess tax revenue driven by the semiconductor boom and economic recovery. The managed fiscal balance deficit is projected to remain at around 4% as a share of GDP into 2027.

Central government fiscal spending keeps growing

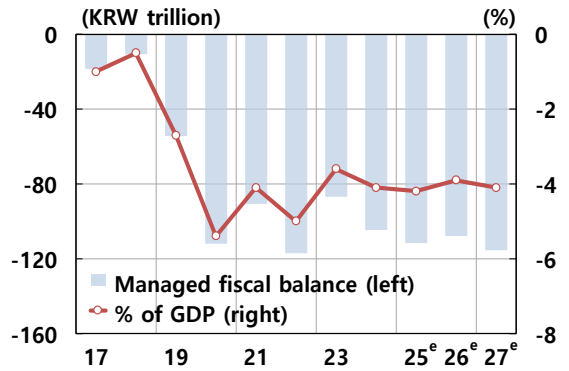
Figure 1.19. Outlook for consolidated fiscal expenditure[1)]



Note: 1) Figures for 2025 include supplementary budget, with 2026 based on the main budget and 2027 on the National Fiscal Management Plan.
Sources: Ministry of Planning and Budget, Bank of Korea.

Managed fiscal balance deficit ratio stays near 4% of GDP

Figure 1.20. Outlook for managed fiscal balance[1)]



Note: 1) Figures for 2025 include the supplementary budget, with 2026 based on the main budget and 2027 on the National Fiscal Management Plan.
Source: Ministry of Planning and Budget.

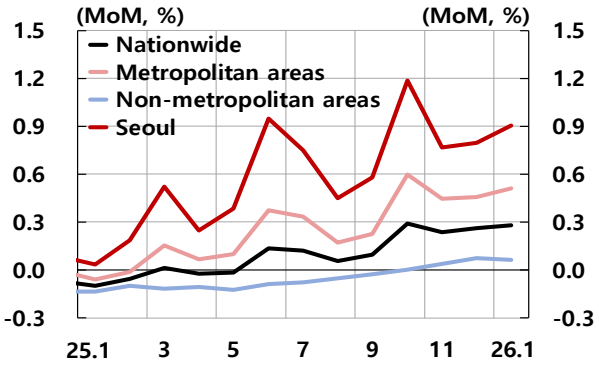
[35] ► Total expenditure growth rate (based on main budget, %): 6.0 (average) during 2011-2024, 5.1 in 2023 → 2.8 in 2024 → 2.5 in 2025 → 8.1 in 2026 (3.5 compared with supplementary budget of 2025)
► Ratio of deficit in managed fiscal balance (% of GDP): 2.5 (average) during 2011-2024, 4.2 in 2025e, 3.9 in 2026e

[36] ► Tax revenue shortfall (including supplementary budget, KRW trillion): -0.7 in 2022 → -56.4 in 2023 → -30.8 in 2024 → +1.8 in 2025

1.10. The increase in housing prices in the Seoul metropolitan area, as measured by the sales price index, has accelerated in 2026. This trend is largely attributed to rising prices[37] in suburbs of Seoul and parts of Gyeonggi-do since late 2025, driven by concerns over supply shortages. On the other hand, the government's recent announcement of additional housing supply measures and more stringent real estate tax policies[38] has eased the upward pressure on housing prices in areas that saw sharp price increases in 2025.[39] Meanwhile, housing prices in non-Seoul metropolitan areas have continued to rise modestly since turning upward in October 2025. *Jeonse* (lump-sum deposit leases) and monthly rental prices nationwide have remained elevated since October 2025.

Rise in housing sales prices is accelerating in 2026

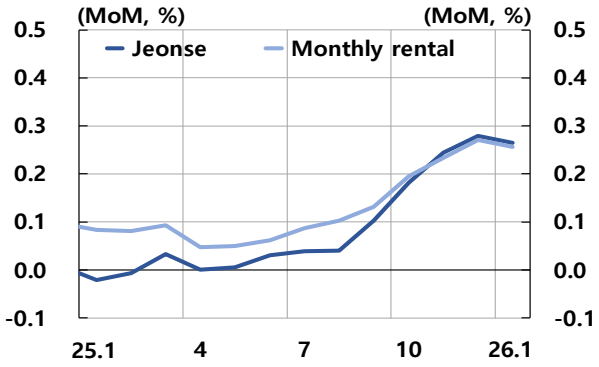
Figure 1.21. Housing sales price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

***Jeonse* and monthly rental prices have risen faster since October in 2025**

Figure 1.22. *Jeonse* and monthly rent price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

[37] Since late 2025, increases in housing prices in Seoul's suburbs and select Gyeonggi-do areas—such as Gwanak-gu (0.20% in fourth week of December 2025 → 0.57% in first week of February 2026), Seongbuk-gu (0.18% → 0.41%), Gangseo-gu (0.19% → 0.40%), Guri-si (0.09% → 0.53%), and Gwangmyeong-si (0.26% → 0.45%)—have driven gains in the Seoul metropolitan area (0.12% → 0.16%), based on weekly apartment sales price trends from the Korea Real Estate Board.

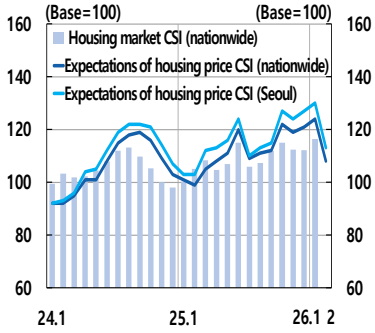
[38] To supplement the September 7 Housing Supply Measures announced in 2025, the government introduced its January 29, 2026 Supply Measures the January 29 Supply Measures on January 29, 2026. These include detailed plans to expand the urban housing supply by identifying additional public sites, old government building locations, idle lots, and new housing sites. Additionally, discussions on real estate tax reforms are underway, as the government has decided to end the temporary suspension of capital gains tax surcharges on multiple-home owners (originally scheduled to end on May 9).

[39] Recently, weekly apartment price rises have eased in several Seoul districts: Mapo-gu (0.41% in fourth week of January → 0.23% in third week of February), Gangdong-gu (0.39% → 0.08%), Dongjak-gu (0.44% → 0.08%), Songpa-gu (0.31% → 0.06%), and Seocho-gu (0.27% → 0.05%).

1.11. Looking ahead, housing prices in the Seoul metropolitan area face downside risks from the government's stabilization measures and upside risks from housing supply shortages. The government has announced housing supply measures on January 29 and plans to introduce a 2026 macroprudential policy, including a housing debt management plan.[40] It is also discussing reforms to the real estate tax system. These measures are expected to exert downward pressure on housing prices in the Seoul metropolitan area. In non-Seoul metropolitan areas, downward pressure from accumulated unsold new homes is expected to persist, though regional differentiation will emerge, with some areas experiencing price rises.

Expectations for housing price increases moderated in February

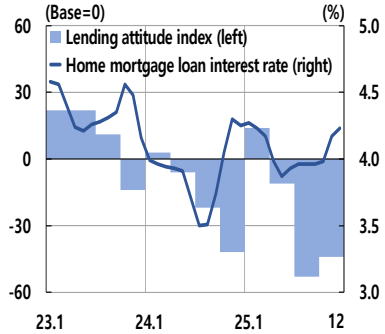
Figure 1.23. Housing market CSI and expectations of housing price CSI and



Source: Bank of Korea, Korea Research Institute for Human Settlements.

Lending rates have risen, and lending attitudes have tightened

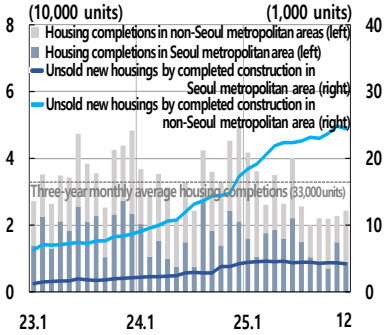
Figure 1.24. Lending attitude index[1] and home mortgage loan rate



Note: 1) Positive (negative) values for lending attitude indicate easing (tightening) of lending attitudes for household loans (primarily housing loans) by financial institutions (based on quarterly results).
Source: Bank of Korea.

Unsold new housings in non-Seoul metropolitan areas have accumulated despite reduced supply

Figure 1.25. Housing completions and unsold new housings by completed construction



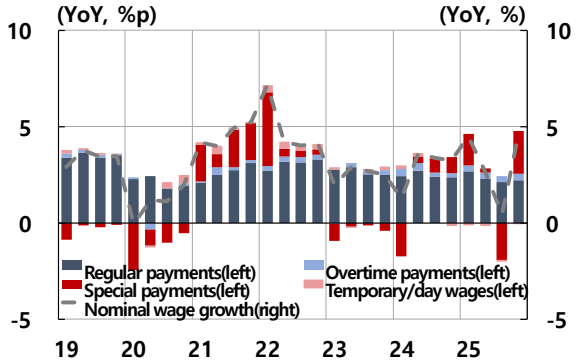
Source: Ministry of Land, Infrastructure and Transport.

[40] The government announced plans to manage household debt consistently throughout 2026 at a household debt monitoring meeting on January 14, 2026. At a press conference on January 28, it stated that the 2026 household debt management plan would be released soon.

1.12. Nominal wage growth rate has rebounded recently, reflecting a sharp rise in special payments, even as regular payment for permanent employees (underlying wages) has remained at a low level. In 2025, nominal wage growth moderated through the third quarter before rising 4.7% in the fourth quarter. This rise was driven by increased performance pay, particularly in automotive-related industry and bonus payments for the Chuseok holiday concentrated in October (September in 2024). Regular payments for permanent employees have remained low, in contrast to special payments. Wages of temporary and daily workers continued to decline due to the impact of sluggish employment in the construction sector.

Nominal wages rebound on special payments

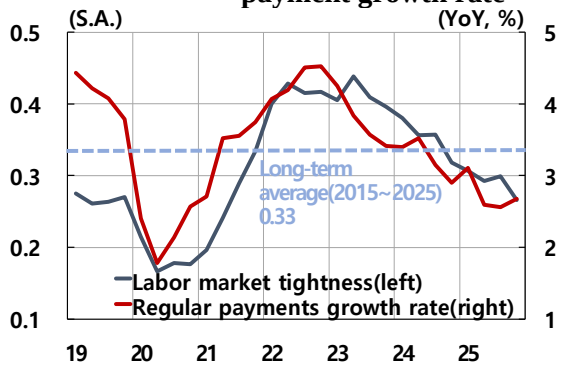
Figure 1.26. Nominal wage growth rate contribution



Source: Ministry of Employment and Labor.

Regular wage growth remains low

Figure 1.27. Labor market tightness and base payment growth rate



Source: Ministry of Employment and Labor.

1.13. Nominal wage growth is expected to increase gradually in 2026, supported by improved performance in the services sector and stronger earnings at IT firms. The regular payment growth s expected to be higher than in 2025, in line with improving services sector conditions amid domestic demand recovery. However, the pace of improvement is likely to be gradual, given that labor demand—as measured by the job vacancy rate—has recovered slowly following past services sector gains. Special payments are projected to grow at a higher rate, as corporate profitability improves, particularly in the IT manufacturing sector. However, since the expansion of performance payments is concentrated in certain IT manufacturing sectors, overall wage growth is forecast to remain limited.

Regular payment growth improves, but slowly

Figure 1.28. Job vacancy rate and regular payment growth for full-time workers in services sector

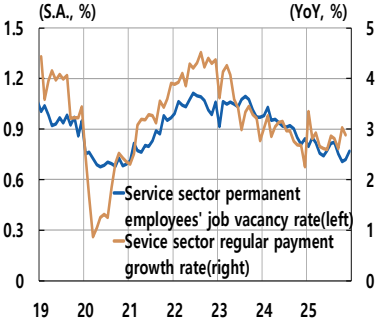
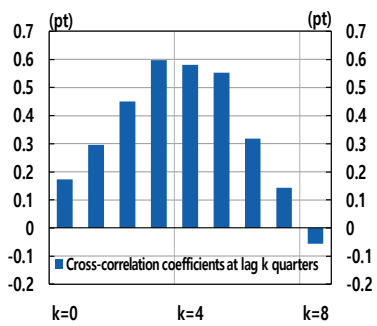


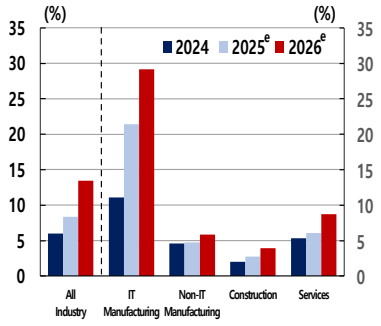
Figure 1.29. Cross-correlation coefficients[1] between growth and job vacancy rate in services sector



Note: 1) Correlation coefficient between 2020-2025 growth (leading) and job vacancy rate (lagging) in service sector.
Sources: Ministry of Employment and Labor, Research Department.

Rise in special payments is likely to expand

Figure 1.30. Operating margin projections



Source: FnGuide (as of February 2026).

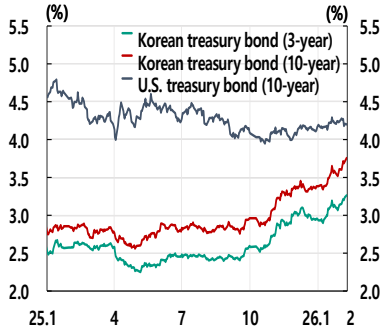
1.14. After the November 2025 projection, long-term interest rates rose sharply due to shifts in domestic/overseas monetary policy expectations and concerns over fiscal expansion in major economies. Treasury bond yields soared due to U.S. monetary policy uncertainty, Japan's fiscal expansion concerns, supply pressure from Treasury bond issuance, and fading expectations for Base Rate cuts amid strong domestic growth and financial stability caution. Corporate bond (AA-, 3-year) credit spreads widened due to 2025's year-end book-closing. In 2026, spreads expanded slightly[41] despite early-year effects, driven by deteriorating investment sentiment from the mid-January rate hikes. In terms of bond market supply-and-demand dynamics, supply-demand concerns, including the possibility of a supplementary budget, remained present. Meanwhile, bond funds shifted[42] to equities on expectations for a stock rally in 2026, contributing to higher interest rates and wider credit spreads.

The KOSPI temporarily dipped on AI profitability concerns but surged in December 2025, hitting a record high of 6,083.86 on February 25, 2026, driven by the semiconductor boom and expectations for government capital market policies. However, February 2026 saw heightened volatility from profit-taking incentives (vs. major markets), U.S. monetary policy uncertainty, and persistent AI profitability worries. The KRW/USD exchange rate exhibited high volatility around the mid-1,400s, driven by upside pressures from residents' overseas investments and foreigners' domestic stock sales, offset by a bearish U.S. dollar.

Long-term interest rates and stock prices soar

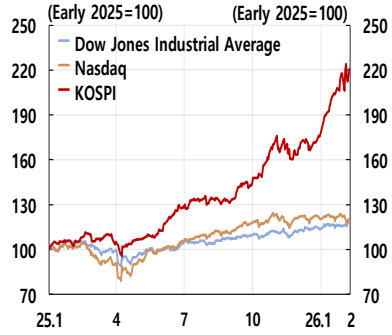
KRW/USD exchange rate shows high volatility

Figure 1.31. Korea and U.S. treasury bond yields



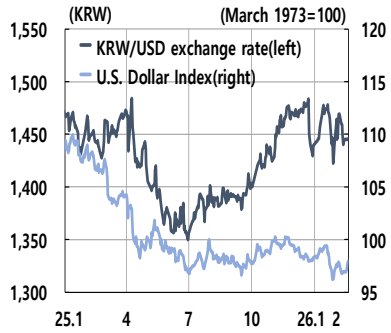
Sources: Bank of Korea, Bloomberg.

Figure 1.32. Stock prices in Korea and the U.S.



Sources: Bank of Korea, Bloomberg.

Figure 1.33. KRW/USD exchange rate and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

[41] Credit spreads of corporate bonds (AA-, 3-year, bp): 47 at end of November 2025 → 51 at end of December → 47 on January 20, 2026 → 51 at end of January → 53 on February 9 (long-term average: 51).

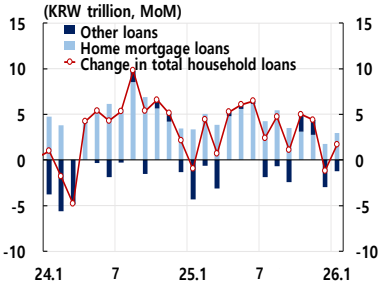
[42] Movements of stock and bond funds (public offerings, KRW trillion):

	Jan. 5-9, 2026	Jan. 12-16	Jan. 19-23	Jan. 26-30	Feb. 2-6
► Stock funds	+4.9	+6.2	+5.4	**+10.8**	**+2.4**
► Bond funds	+2.8	+0.4	- 0.2	**-1.9**	**-1.1**

1.15. Household loans continued decelerating due to tighter macroprudential policies, while corporate funding showed gradual growth. Household loans from the financial sector have slowed overall since Q4 2025, due to stricter lending regulations[43] under the October 15 Measures and total volume targets. By loan type, growth of housing-related loans slowed, as home mortgage loans for living expenses declined on a net redemption basis, even amid stronger upward pressure from home mortgage loans for housing purchases. Other loans experienced net redemptions overall, despite increased domestic and overseas stock investments, mainly due to seasonal factors such as year-end sales and write-offs of non-performing loans as well as inflows of early-year bonuses. Corporate bank loans continued to rise gradually, driven by banks' strategies to expand their corporate loan portfolios. However, growth remained modest due to banks' year-end capital ratio management and sales/write-offs of non-performing loans. Direct financing remained weak due to rising market interest rates and year-end book-closing by institutional investors, but has turned into net financing in 2026 as strong issuance of CP and short-term bonds outweighed net redemptions of corporate bonds.

Household loan growth continues to moderate

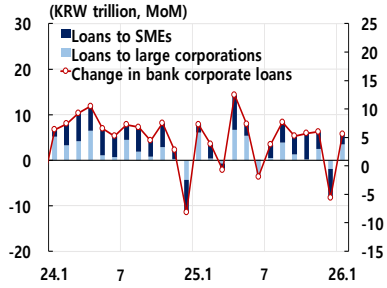
Figure 1.34. Changes in household loans[1)2)]



Notes: 1) Deposit-taking banks and non-bank financial institutions.
2) Excluding policy loans from the Housing and Urban Fund (own resources).
Source: Bank of Korea.

Banks' corporate loans are rising steadily

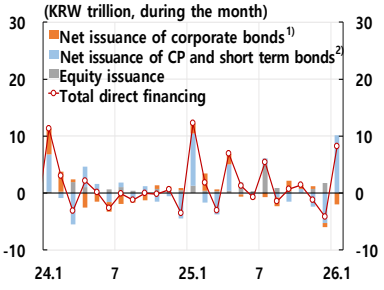
Figure 1.35. Changes in banks'[1)] corporate loans



Note: 1) Based on loans at deposit-taking banks.
Source: Bank of Korea.

Corporate direct financing has shifted to net funding

Figure 1.36. Direct corporate financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[43] On June 27, the government capped home mortgage loans for home purchases in the Seoul metropolitan area and restricted zones at KRW 600 million, limited home mortgage loans for living expenses to KRW 100 million, and restricted unsecured loans to within borrowers' annual income. On October 15, the government designated all of Seoul and 12 areas in Gyeonggi-do as land transaction permission zones, adjustment-designated areas, and overheated speculation zones. This reduced the LTV ratios in these areas from 70% to 40% and further cut home mortgage loan limits based on housing prices (by KRW 400 million for homes exceeding KRW 2.5 billion and by KRW 200 million for homes priced between KRW 1.5 billion and KRW 2.5 billion).

Main Premises of the Baseline Outlook

▶ **Global economic growth rate (%): 3.3 in 2024 → 3.3 (up 0.3) in 2025 → 3.1 (up 0.2) in 2026 → 3.2 (up 0.1) in 2027**

- The **global economic** growth forecasts for 2026 and 2027 have been revised upward by 0.2 and 0.1 percentage points, respectively, reflecting the global AI investment boom and accommodative monetary policies in major countries.
- The growth forecasts for **the United States** in 2026 and 2027 have been raised by 0.2 and 0.1 percentage points, respectively, reflecting expanded AI investment, expansionary fiscal policy, and easing financial conditions. In **the euro area**, the 2026 projection has been revised upward by 0.1 percentage points, reflecting growth more robust than expected, while the 2027 projection remains unchanged. The growth forecasts for **China** in 2026 and 2027 have been raised by 0.2 and 0.1 percentage points, respectively, supported by favorable export momentum to date.

▶ **Global trade growth (%): 3.3 in 2024 → 4.3 (up 0.7) in 2025 → 2.5 (up 0.1) in 2026 → 3.2 (up 0.2) in 2027**

- The global trade growth forecasts for 2026 and 2027 have been revised upward by 0.1 and 0.2 percentage points, respectively, reflecting favorable AI-related demand and the signing of the EU-India FTA, despite potential uncertainty from the imposition of new U.S. tariffs.

▶ **Global oil prices (Brent crude, USD/barrel): 80 in 2024 → 68 (down 1) in 2025 → 64 (up 1) in 2026 → 65 (unchanged) in 2027**

- The global oil price forecasts for 2026 have been raised by USD 1, reflecting escalating geopolitical risks between the United States and Iran. The forecasts for 2027 remain unchanged.

	2024	2025				2026e)			2027e)
	Year	H1	H2[1)]	Year[1)2)]		H1	H2	Year[2)]	Year[2)]
Baseline assumptions of the outlook									
Global economic growth (%)[3)]	**3.3**	3.4	3.2	**3.3**	[+0.3]	3.0	3.1	**3.1** [+0.2]	**3.2** [+0.1]
• United States	**2.8**	2.1	2.3	**2.2**	[+0.3]	2.8	1.9	**2.3** [+0.2]	**2.1** [+0.1]
• Euro area	**0.9**	1.4	1.5	**1.5**	[+0.2]	1.1	1.3	**1.2** [+0.1]	**1.4** [-]
• China	**5.0**	5.3	4.6	**5.0**	[+0.1]	4.5	4.6	**4.6** [+0.2]	**4.4** [+0.1]
• Japan	**-0.2**	1.8	0.3	**1.1**	[-0.1]	-0.2	1.3	**0.6** [+0.1]	**0.8** [-]
Global trade growth (%)[2)]	**3.3**	4.6	4.1	**4.3**	[+0.7]	2.2	2.8	**2.5** [+0.1]	**3.2** [+0.2]
Brent crude oil price (USD/barrel)[3)]	**80**	71	66	**68**	[-1]	65	63	**64** [+1]	**65** [-]

Notes: 1) Figures for the global economy and trade are projections.
2) Figures in [ ] indicate change from November 2025 projections.
3) Year-on-year.
4) By period average.

Sources: statistical offices in each area, Bloomberg, Bank of Korea.

2. Macroeconomic Outlook for Korea

Economic Growth

2.1. The Korean economy is projected to grow 2.0% in 2026, well above 1.0% in 2025, underpinned by the strengthened semiconductor cycle upturn and a stronger-than-expected global economic backdrop, despite the impact of U.S. tariffs and a sluggish recovery in construction investment. In the **fourth quarter of 2025**, the economy contracted by 0.3% quarter-on-quarter, largely reflecting base effects from the strong 1.3% expansion recorded in the preceding quarter. In the **first quarter in 2026**, private consumption is sustaining its recovery amid favorable economic sentiment, while exports are posting strong growth led by semiconductors. With base effects from the previous quarter's contraction — mainly in the investment component — also at play, the growth rate is expected to approach 1% (0.9%). From the **second quarter onward**, the consumption recovery is expected to expand gradually on the back of improving income conditions, while export growth should continue, supported by robust global AI investment and a stronger-than-expected global economic backdrop, sustaining the overall growth momentum. However, the sluggish recovery in the non-IT sector, including construction, is expected to partially constrain growth. Consequently, the annual growth for **2026** is projected at 2.0%, above the November forecast of 1.8%.

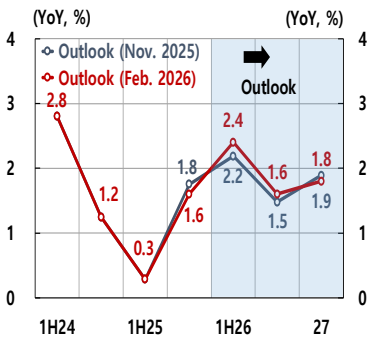
* The upward revision reflects the strengthened semiconductor cycle upturn (+0.2%p), a stronger-than-expected global economic backdrop (+0.05%p), the postponed imposition of tariffs on semiconductors and pharmaceuticals in the baseline assumption (+0.05%p), and government consumption and investment support measures# (+0.1%p), partly offset by the sluggish recovery in construction investment (-0.2%p).

\# Extension of the reduction in the individual consumption tax on automobiles (through June 2026), selection of investment targets for the National Growth Fund, increased public institution investment, and expanded facility financing support.

In **2027**, domestic demand is expected to sustain its recovery, and exports should continue to increase on the back of ongoing global economic growth and expanded semiconductor production capacity, resulting in a solid growth rate of 1.8%.

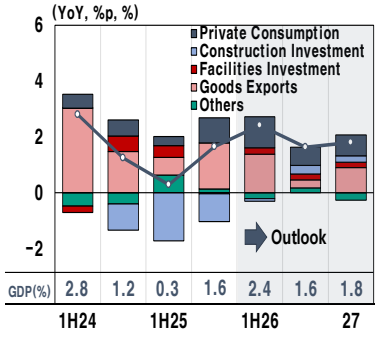
Growth is projected to expand, supported by sustained export momentum and a gradual recovery in domestic demand, including private consumption.

Figure 2.1. Outlook for GDP growth



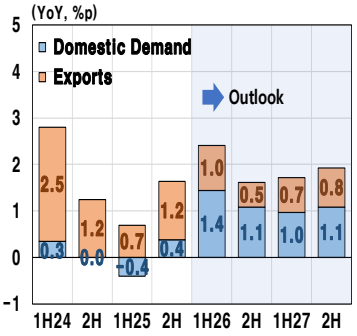
Source: Research Department.

Figure 2.2. Contributions to GDP growth by expenditure



Source: Research Department.

Figure 2.3. Net contributions of domestic demand and exports to growth[1)]



Note: 1) Estimated by excluding impact on imports.
Source: Research Department.

In 2026, growth rate is projected at 2.0%, revised up by 0.2%p from the November forecast

Figure 2.4. Revision to GDP growth projection for 2026 by main driver

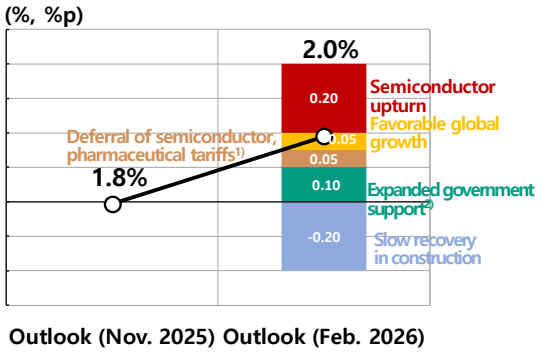
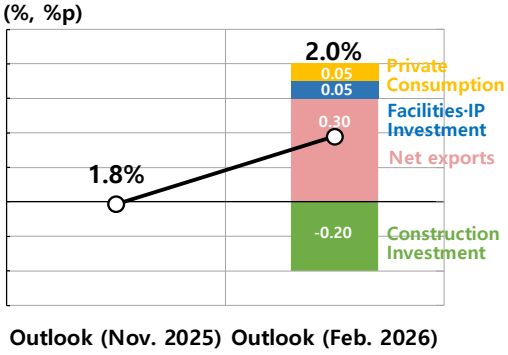


Figure 2.5. Revision to GDP growth projection for 2026 by expenditure

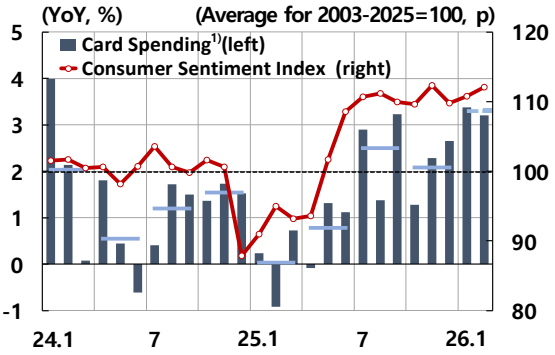


Notes: 1) Q3 2026 → Q1 2027.
2) The selection of investment targets for the National Growth Fund, the extension of the reduction in the individual consumption tax on automobiles, increased public institution investment, and expanded facility financing support.

2.2. By sector, private consumption is expected to gradually strengthen its recovery. Private consumption maintained its recovery momentum in the fourth quarter of 2025 supported by favorable consumer sentiment, although the growth rate moderated to 0.3% due to base effects and waning impact of new product launches (smartphones). While early-year indicators showed increased volatility due to cold waves and holiday-related calendar effects, the underlying consumption recovery in 2026 is assessed to be stronger than initially expected, underpinned by durable goods expenditure such as passenger cars.[44] Going forward, private consumption is expected to gradually strengthen its recovery, as household income conditions improve, supported by improving corporate earnings in the IT sector and favorable stock market conditions. However, structural constraints—such as population aging, accumulated household debt, and deepening sectoral imbalances (IT vs. non-IT, etc.)— are expected to weaken the spillover effects of improved economic conditions on consumption, limiting the pace of recovery. Consequently, private consumption is projected to grow by 1.8% in both 2026 and 2027, outpacing the 1.3% growth recorded in 2025.

Private consumption, solid recovery continues

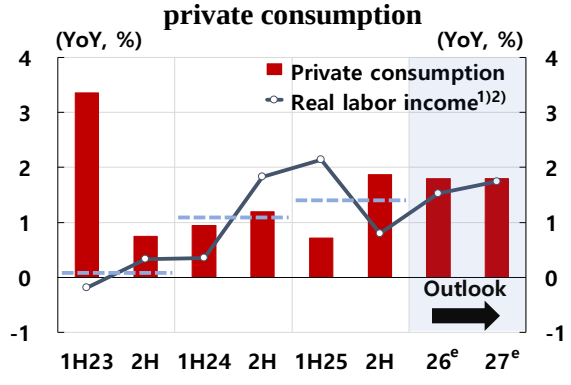
Figure 2.6. Consumer sentiment and card spending



Note: 1) Based on real terms. Figures for February cover February 1 to 21. Dotted lines indicate quarterly averages.
Source: Bank of Korea.

Gradual consumption recovery is anticipated amid improving household income conditions

Figure 2.7. Household real labor income and private consumption



Notes: 1) Number of employed persons × per capita average wage / consumer price index.
2) Dotted lines indicate the annual averages of real labor income (YoY).
Source: Bank of Korea.

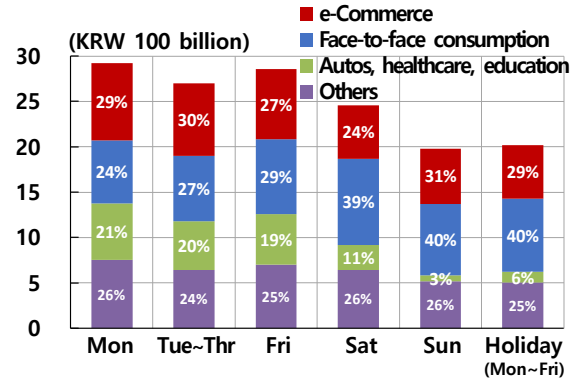
[44] As for the underlying consumption momentum assessment indicator that accounts for temporary volatility expansion factors, refer to "FYI 2. Consumption Momentum Indicator Adjusted for Business Day Effects and Weather Conditions."

FYI2 Consumption Momentum Indicator Adjusted for Business Day Effects and Weather Conditions

Card spending, a high-frequency indicator of private consumption, exhibits high short-term volatility due to temporary and irregular factors such as differences in the number of business days arising from the weekday composition and changes in weather conditions during the analysis period. Thus, short-term indicators often diverge from the underlying consumption trend. For a more accurate assessment of consumption momentum, such distortions in high-frequency indicators need to be adjusted.

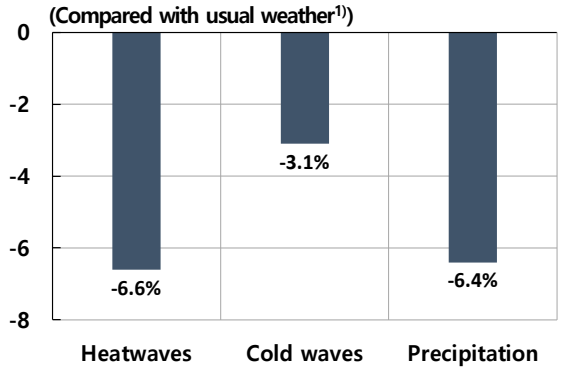
To address these limitations, we devised a "card spending adjusted for business day effects and weather conditions" indicator. First, the business day effect (Figure 1) is removed using weekday weights, and weather conditions are then adjusted[45] by estimating the elasticity of card spending to weather (Figure 2).

Figure 1. Daily average card spending by weekday



Source: authors' own estimation.

Figure 2. Elasticity of card spending to weather conditions



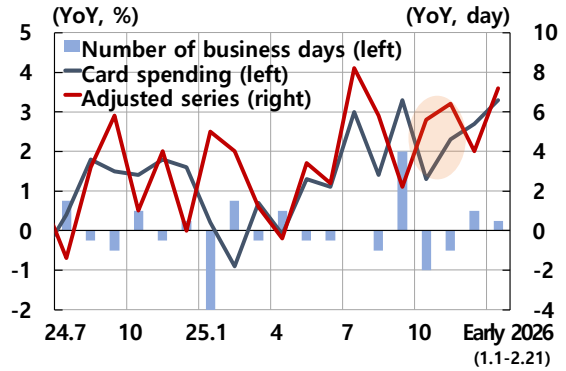
Note: 1) Days without heatwaves, cold waves, and precipitation.
Source: authors' own estimation.

While adjusted card spending shows a pattern similar to the original series in long-term trends, they exhibit significant differences at certain points in time. Particularly, when business days decline markedly due to consecutive holidays or when severe weather such as heatwaves occurs, the adjusted indicator shows underlying consumption trends more clearly than the original series (Figures 3 and 4).

In early 2026, consumption shows solid growth, with the adjusted series increasing by 3.6%, compared with 3.3% for the original series, which includes the effects of business days and cold waves (January 1 to February 21, real YoY). Overall, the underlying momentum of consumption recovery that persisted since the second half of 2025 is assessed to have continued into 2026.

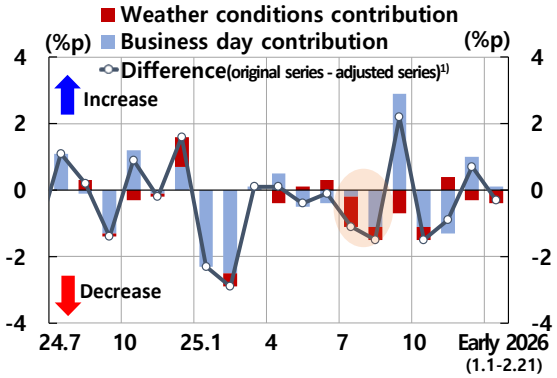
[45] This indicator is based on the methodology of "The Impact of Weather and Day of the Week on Consumption: Evidence from High-Frequency Data" (BOK Issue Note No. 2025-29, September 2025), while re-estimating weekday weights and weather elasticities using household card spending data to better capture underlying private consumption trends.

Figure 3. Adjusted card spending



Source: authors' own estimation.

Figure 4. Decomposition of the impact of business days and weather conditions

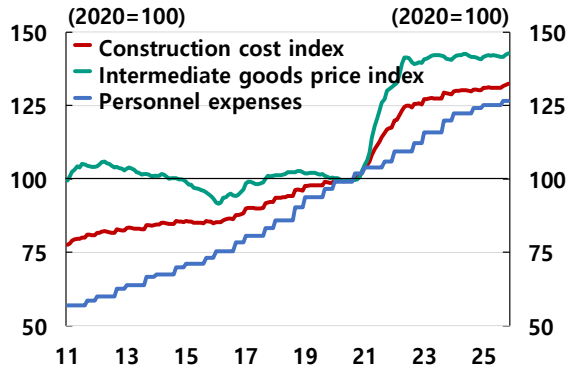


Note: 1) Positive (negative) number means the original time series showed higher (lower) growth than the underlying momentum due to an increase (decrease) in the number of business days or improved (deteriorating) weather conditions.
Source: authors' own estimation.

2.3. Construction investment is expected to fall below the previous forecast, as weakness in residential construction persists, with increased investment in AI-related facilities and in SOC will partly offset the weakness. In the fourth quarter of 2025, construction investment declined more than expected due to sluggish construction starts and a base effect from the sharp increase in SOC investment at the end of the previous quarter. Construction investment in 2026 is projected to recover gradually, thanks to robust AI-related investments, such as semiconductor plants and data centers, and the increase in SOC spending. Still, residential construction recovery is likely to be slow due to sluggish construction progress caused by high construction costs, despite improved construction orders in 2024 and 2025. Additionally, the accumulated volume of unsold new homes in non-Seoul metropolitan areas is deepening the contraction in construction starts. In summary, construction investment—which declined significantly by 9.9% in 2025—is projected to increase by 1.0% in 2026 and 1.5% in 2027, indicating a slow recovery.

Construction companies' profitability deteriorates amid rising costs

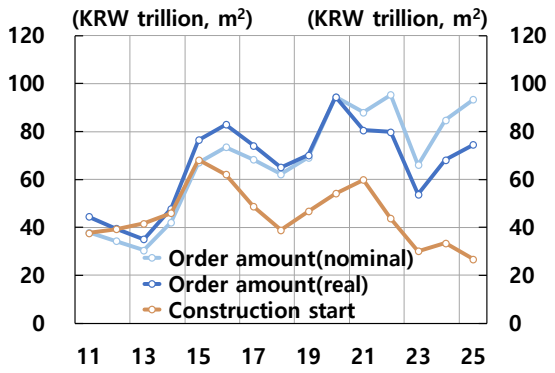
Figure 2.8. Construction cost index, intermediate goods price index, and personnel expenses[1)]



Note: 1) Average wages of general construction workers.
Sources: Bank of Korea, Construction Association of Korea, Korea Institute of Civil Engineering and Building Technology.

Construction delays persist despite improved housing orders

Figure 2.9. Housing orders and starts

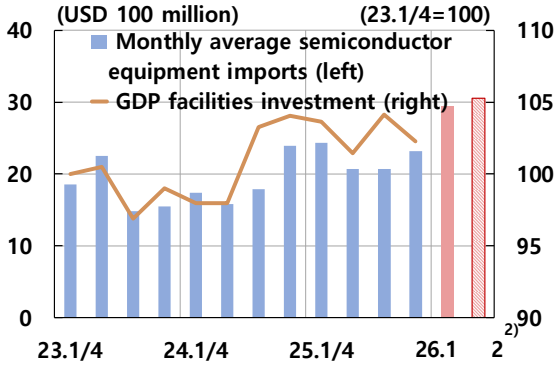


Note: 1) Deflating construction achievements using the construction work deflator (2020=100).
Sources: Ministry of Data and Statistics, Ministry of Land, Infrastructure and Transport.

2.4. Facilities investment is expected to continue increasing, driven mainly by the IT manufacturing sector. In the fourth quarter of 2025, facilities investment declined, as machinery investment lost momentum amid weakness in non-IT sectors such as construction, while transportation equipment investment also decreased after increasing sharply during the first three quarters. Since the beginning of 2026, however, facilities investment has shown signs of rebounding, as semiconductor firms increased investment early in the year. Looking ahead, machinery investment in the non-IT sector will likely remain sluggish due to restructuring and the effects of tariffs. However, overall machinery investment is expected to continue increasing, as demand for AI-related equipment rises in the IT manufacturing sector. Transportation equipment investment is expected to see slower growth, owing to base effects from the sharp increase in corporate vehicle purchases last year following cuts in the individual consumption tax, as well as a slowdown in ship orders after the post-pandemic surge. Accordingly, facilities investment is projected to increase by 2.4% in 2026 and 2.0% in 2027. Upside risks include expanded government support for high-tech strategic industries, while downside risks stem from the possibility of adjustments following excessive AI investment.

Semiconductor companies ramp up investment in early 2026

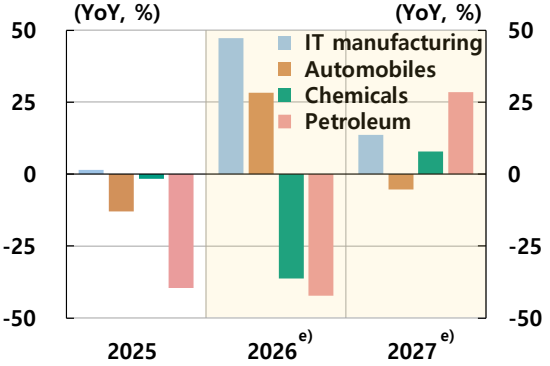
Figure 2.10. GDP faffcilities investment[1] and semiconductor equipment imports



Notes: 1) Real, seasonally adjusted.
2) Estimated based on growth rate from February 1 to 20.
Sources: Bank of Korea, Korea Customs Service.

Facilities investment to expand, led by IT manufacturing

Figure 2.11. CapEx[1] projections for major domestic companies by industry

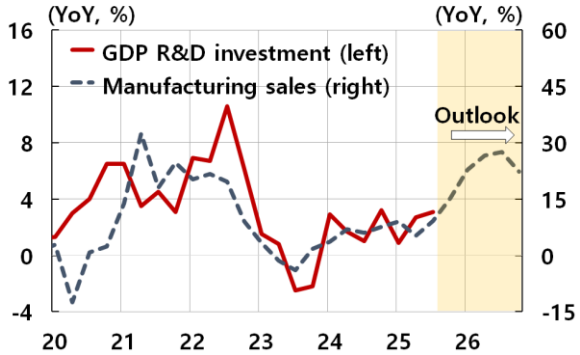


Note: 1) Primarily tangible asset investments, such as facilities and construction (based on consolidated financial statements).
Source: Bloomberg.

2.5. Investment in intellectual property products (IPP) is projected to continue its solid growth, surpassing the previous forecast, supported by expanded capacity for corporate investment and bolstered government support. In 2025, IPP investment recorded a favorable increase, driven by firms' heightened R&D spending and the government's expanded R&D budget. Going forward, IPP investment is expected to maintain its robust growth, driven by firms' efforts to secure competitiveness in advanced industries, improved corporate earnings enabling greater investment capacity, and expanded government support. As the share of technology-intensive and knowledge-based industries—such as semiconductors and AI—increases, investment in software and intellectual property rights is expected to rise steadily. Accordingly, IPP investment is projected to grow by 3.5% in 2026 and 2.6% in 2027.

Capacity for R&D investment increases on expected improvement in corporate performance

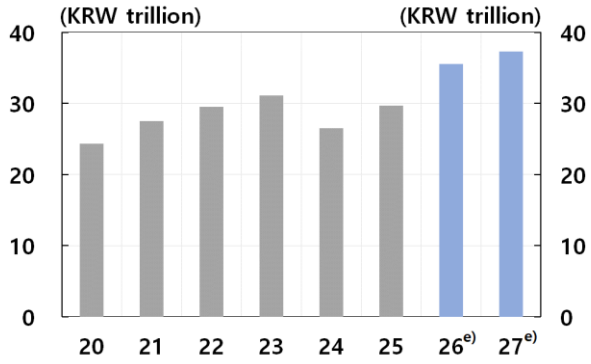
Figure 2.12. R&D investment and manufacturing sales outlook[1)]



Note: 1) As of February 5, 2026.
Sources: Bank of Korea, FnGuide.

Government R&D budgets for 2026 and 2027 are rising significantly

Figure 2.13. Government R&D budget[1)]

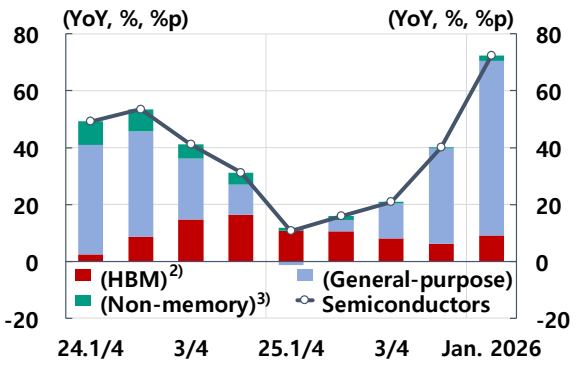


Note: 1) 2026: budget bill; 2027: National Fiscal Management Plan; supplementary budget included until 2025.
Source: Ministry of Planning and Budget.

2.6. Goods exports, measured in real GDP terms, are projected to significantly exceed the previous expectations due to the strengthened semiconductor cycle. Goods exports in the second and third quarters of 2025 rose by 5.2% and 1.8%, respectively, quarter on quarter. In the fourth quarter, they declined by 2.0% due to U.S. tariffs.[46] Although non-IT goods exports are expected to remain sluggish in 2026 due to U.S. tariffs, goods exports are projected to exceed the previous forecast, driven by semiconductor exports as AI-related demand expands beyond high-bandwidth memory (HBM) to general-purpose memory chips. In 2027, with semiconductors continuing solid growth and the non-IT sector slump easing amid global economic improvement, goods export growth is likely to rise slightly above the 2026 rate. Thus, goods export growth is forecast at 2.1% in 2026 and 2.3% in 2027. **Goods imports, measured in real GDP terms,** are forecast to grow by 2.5% in 2026 and 2.6% in 2027, supported by export growth and consumption recovery.

Semiconductor export values soar as AI-related demand spreads from HBMs to general-purpose memory chips

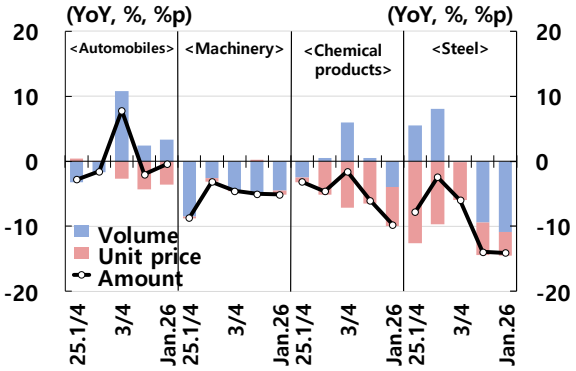
Figure 2.14. Decomposition of semiconductor export value growth rates[1)]



Notes: 1) Based on daily averages.
2) Taiwan-bound multichip memory (HS Code 8542.32.3000).
3) Includes other semiconductor parts.
Source: Korea Customs Service.

Non-IT exports remain overall sluggish

Figure 2.15. Export volumes and unit price growth rates of major non-IT items[1)]



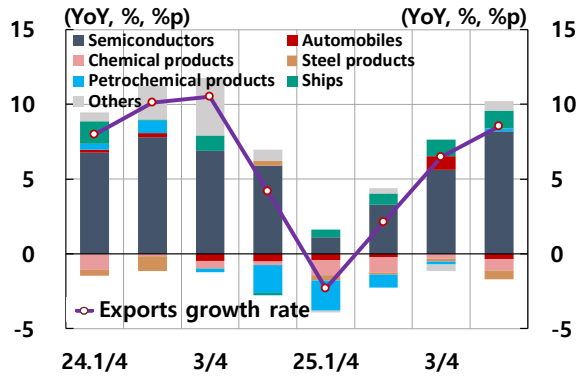
Note: 1) Daily averages for January 2026.
Source: Bank of Korea.

[46] Due to U.S. tariffs, sluggishness in non-IT exports such as machinery and chemical products likely continued into January 2026.

2.7. Exports on a customs clearance basis (nominal, YoY) are projected to grow substantially, approaching USD 800 billion, due to sharp increases in semiconductor prices. In the fourth quarter of 2025, exports grew 8.4% year-on-year, accelerating from 6.5% in the previous quarter, due to strong semiconductor exports.[47] Export growth is projected to rise further in 2026. By item, IT exports are expected to soar, driven by sharp rises[48] in memory chip prices. Among non-IT items, ship exports are likely to remain strong despite lower overall deliveries,[49] supported by high-value-added vessels such as LNG carriers. In contrast, automobile exports are expected to decline due to moderating demand for used cars destined for CIS countries and U.S. tariffs, despite rising demand for eco-friendly vehicles. As for other non-IT items, such as chemical products and steel, exports are likely to continue falling due to growing China's competition, U.S. tariffs, and stiffer trade barriers elsewhere, including Mexican tariffs and the EU CBAM. In 2027, although IT exports will moderate due to the base effect from strong semiconductor exports in 2026, non-IT exports are expected to improve gradually with global economic recovery. However, looking ahead, significant uncertainty surrounds the semiconductor cycle, U.S. tariff policy developments following the Supreme Court ruling, outlook for global steel and petrochemical oversupply, and firms' responses to the changing global trade environment (localized production and export market diversification). **Imports on a customs clearance basis (nominal, YoY) are projected to increase significantly, driven by rising intermediate and capital goods imports amid expanding exports and investment, despite falling raw material imports due to lower oil prices.**

Exports in Q4 2025 remain favorable, led by semiconductors

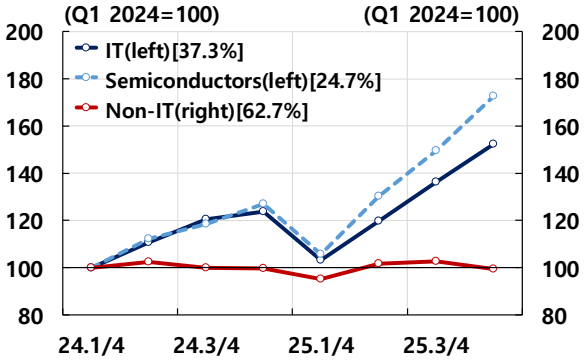
Figure 2.16. Contribution to exports on a customs-clearance basis by item



Source: Korea Customs Service.

Export gap widens between IT and non-IT sectors

Figure 2.17. IT and non-IT exports on a customs-clearance basis[1)]



Note: 1) Figures in [ ] indicate the share of total exports in 2025.
Sources: Korea Customs Service, Research Department.

[47] In January 2026, exports rose 33.8% year-on-year due to more business days (+3.5 days), or 13.9% on a daily average basis.
[48] ▶Semiconductor export price index (USD, YoY): +0.5% in Sep. 2025 → +19.5% in Oct. → +32.3% in Nov. → +37.9% in Dec. → +73.5% in Jan. 2026.
[49] ▶Ships to be delivered: 240 in 2025→ 209 in 2026 → 269 in 2027 (Source: Clarksons Research)

Economic Growth Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year	Year
GDP growth rate[1)]	**2.0**	0.3	1.6	**1.0**	2.4	1.6	**2.0**	**1.8**
		<0.3>	<1.8>	<1.0>	<2.2>	<1.5>	<1.8>	<1.9>
• Private consumption	**1.1**	0.7	1.9	**1.3**	2.3	1.3	**1.8**	**1.8**
		<0.7>	<1.9>	<1.3>	<2.2>	<1.3>	<1.7>	<1.7>
• Construction investment	**-3.3**	-12.2	-7.5	**-9.9**	-0.8	2.6	**1.0**	**1.5**
		<-12.4>	<-5.3>	<-8.7>	<2.5>	<2.7>	<2.6>	<1.9>
• Facilities investment	**1.7**	4.5	-0.4	**2.0**	2.4	2.3	**2.4**	**2.0**
		<4.5>	<0.8>	<2.6>	<2.8>	<1.3>	<2.0>	<1.9>
• IPP investment	**1.2**	1.9	3.8	**2.9**	3.4	3.5	**3.5**	**2.6**
		<1.9>	<4.0>	<3.0>	<3.5>	<2.7>	<3.1>	<2.5>
• Goods exports	**6.4**	1.7	4.4	**3.1**	3.5	0.8	**2.1**	**2.3**
		<1.7>	<4.0>	<2.9>	<2.3>	<0.5>	<1.4>	<2.4>
• Goods imports	**1.3**	1.7	2.5	**2.1**	3.4	1.5	**2.5**	**2.6**
		<1.7>	<2.7>	<2.3>	<4.1>	<0.8>	<2.4>	<2.6>

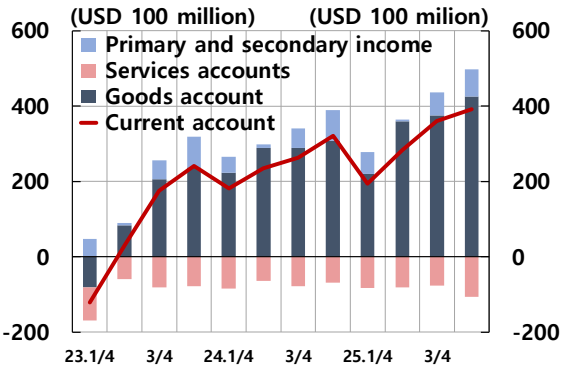
Note: 1) Figures in < > are projections as of November 2025.
Source: Research Department.

Current Account

2.8. The current account surplus is expected to widen significantly, led by an expansion of the goods account surplus amid a robust semiconductor cycle. In the fourth quarter of 2025, the current account recorded a surplus of USD 39.2 billion, marking another quarterly record high following the one set in the third quarter.[50] The goods trade surplus in 2026 is projected to widen substantially, driven by significantly higher semiconductor prices. The services account deficit is expected to expand amid economic recovery, reflecting increased demand for industrial services such as patent royalties as well as rising digital service fees for households and enterprises (e.g., platform subscriptions). As a result, the current account surplus is expected to reach USD 170 billion in 2026 and USD 140 in 2027.

Current account surplus remains large, led by goods account

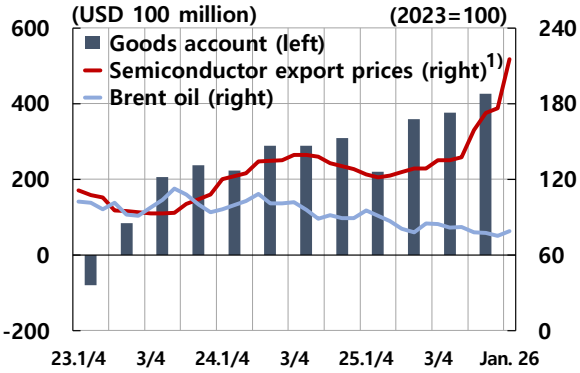
Figure 2.18. Current account balance



Source: Bank of Korea.

Goods account surplus widened on higher semiconductor prices and falling oil prices

Figure 2.19. Goods account and goods prices



Note: 1) In USD.
Sources: Bank of Korea, Bloomberg.

[50] In 2025, the surplus hit a record USD 123.1 billion, surpassing the previous peak of USD 105.1 billion in 2015.

Current Account Outlook[1)]

(USD 100 million)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Current account	**1,000**	479	752	**1,231**	863	837	**1,700**	**1,400**
		<494>	<656>	<1,150>	<567>	<733>	<1,300>	<1,200>
• Goods	**1,109**	579	802	**1,381**	980	915	**1,896**	**1,592**
		<520>	<682>	<1,202>	<651>	<734>	<1,386>	<1,288>
Exports (value)[2)]	**6,836**	3,347	3,747	**7,093**	3,951	4,001	**7,952**	**7,804**
	(8.1)	(-0.0)	(7.4)	(3.8)	(18.1)	(6.8)	(12.1)	(-1.9)
Imports (value)[2)]	**6,318**	3,072	3,246	**6,319**	3,312	3,361	**6,673**	**6,734**
	(-1.7)	(-1.5)	(1.5)	(0.0)	(7.8)	(3.5)	(5.6)	(0.9)
• Services	**-294**	-163	-182	**-345**	-200	-212	**-411**	**-414**
		<-151>	<-162>	<-314>	<-184>	<-177>	<-361>	<-379>
• Primary and secondary income	**185**	63	132	**195**	83	134	**216**	**221**
		<125>	<136>	<261>	<100>	<175>	<275>	<291>

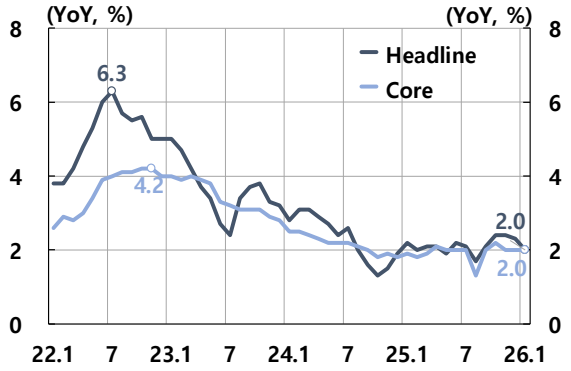
Notes: 1) Figures in < > are projections as of November 2025.
2) Figures in ( ) indicate YoY growth rates.
Source: Research Department.

Prices

2.9. Headline inflation fell to 2.0% year-on-year in January from 2.3% in the previous month, as the increase in petroleum product prices slowed markedly and rise in agricultural, livestock, and marine product prices moderated. Petroleum product prices fell sharply due to base effects from high prices in 2025 and exchange rate appreciation, while agricultural, livestock, and marine product prices rose more slowly, reflecting increased shipments of major items. Core inflation, excluding food and energy, held steady at 2.0% year-on-year, unchanged from the previous month.

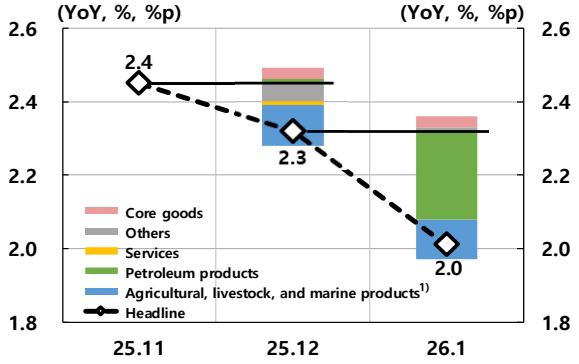
Headline inflation fell to 2.0%, hitting the price target

Figure 2.20. Headline and core inflation



Source: Ministry of Data and Statistics.

Figure 2.21. Decomposition of differences in monthly increases

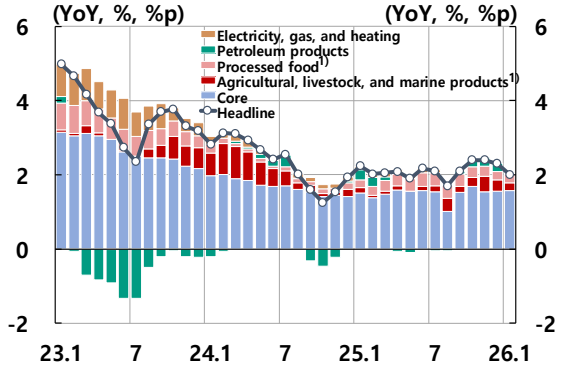


Note: 1) Excluding core inflation items.
Sources: Ministry of Data and Statistics, Research Department.

2.10. Household inflation expectations (for the next 12 months) have recently remained in the mid-2% range. Professionals' long-term inflation expectations for the next five years have stayed slightly below 2%.[51]

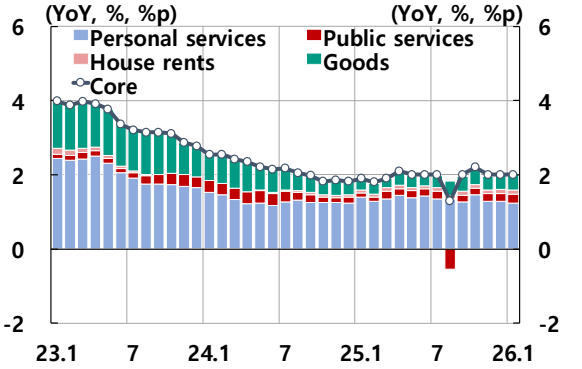
Headline inflation moderated, mainly driven by petroleum products and agricultural, livestock, and marine products

Figure 2.22. Contributions to headline inflation



Note: 1) Excluding core inflation items.
Sources: Ministry of Data and Statistics, Research Department.

Figure 2.23. Contributions to core inflation



Sources: Ministry of Data and Statistics, Research Department.

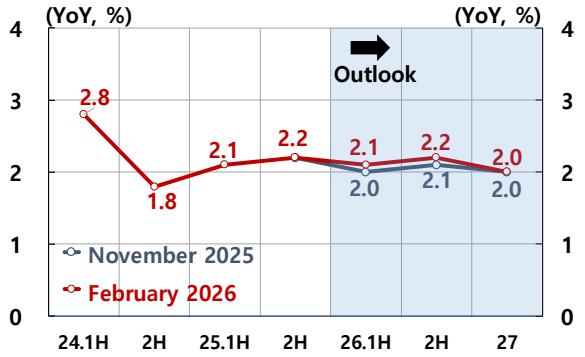
[51]

(%)	Feb. 2025	Mar.	Apr.	May	Jun.	Jul.	Aug.	Sep.	Oct.	Nov.	Dec.	Jan. 2026	Feb
BOK households (next 12 months)	2.7	2.7	2.8	2.6	2.4	2.5	2.6	2.5	2.6	2.6	2.6	2.6	2.6
Consensus economics professionals (five years ahead)	1.8	1.8	1.8	1.8	1.8	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9

2.11. Headline inflation is projected to be 2.2% in 2026, slightly above the November projection of 2.1%, reflecting higher costs for items such as electronic devices and insurance premiums. Core inflation is projected to be 2.1% in 2026, marginally above the prior estimate of 2.0%. Demand-side price pressures remain limited amid a persistent negative GDP gap and widening sectoral growth divergence (IT vs. non-IT). However, upside risks to core inflation are expected from rising prices of electronic devices—linked to recent semiconductor price increases—and higher insurance premiums and college tuition fees. **Headline inflation is projected to stay near 2% in 2026 and reach the 2% target in 2027.**

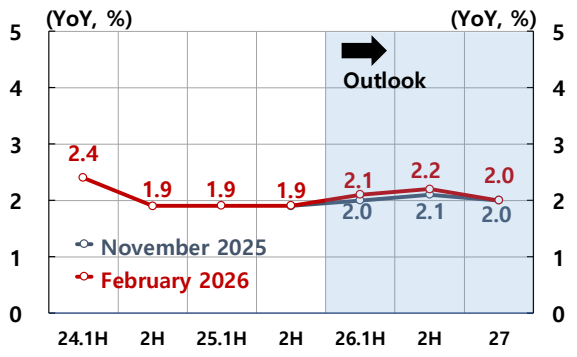
Headline inflation is likely to exceed initial projections slightly, reflecting upward pressures on prices of electronic devices and certain services

Figure 2.24. Headline inflation outlook



Sources: Ministry of Data and Statistics, Research Department.

Figure 2.25. Core inflation outlook



Sources: Ministry of Data and Statistics, Research Department.

Inflation Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Headline inflation	**2.3**	2.1	2.2	**2.1**	2.1 <2.0>	2.2 <2.1>	**2.2** <2.1>	**2.0** <2.0>
• Core inflation[2)]	**2.2**	1.9	1.9	**1.9**	2.1 <2.0>	2.2 <2.1>	**2.1** <2.0>	**2.0** <2.0>

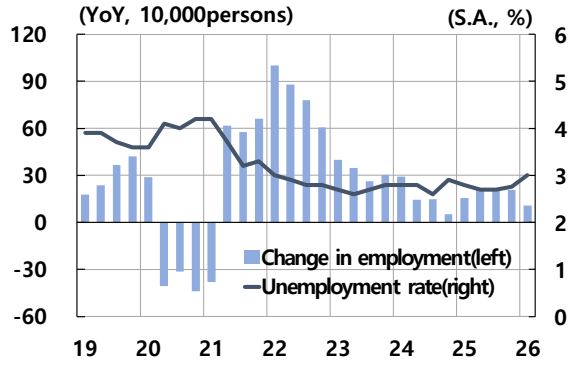
Notes: 1) Figures in < > are projections as of November 2025.
2) Excluding food and energy.
Sources: Ministry of Data and Statistics, Research Department.

Employment

2.12. Employment rose by 108,000 in January, down from 168,000 the prior month; however, private sector employment weakness appears to have eased. Public sector employment declined temporarily, reflecting base effects from the front-loaded implementation of direct job programs in 2025, as well as delays in the execution of job programs at the start of 2026. In contrast, private employment improved, supported by sustained gains in domestic demand-related services and a slower decline in manufacturing and construction. However, knowledge-intensive services (ICT and professional, scientific and technical services) turned downward in the fourth quarter of 2025. By age group, prime-age employment (ages 30-59) rose markedly.

Employment growth slowed temporarily in January

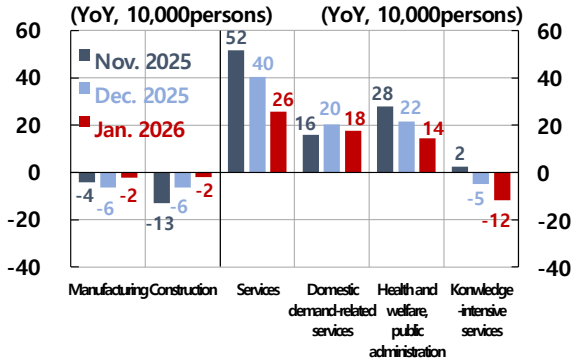
Figure 2.26. Changes in number of employment and unemployment rates (quarterly)[1)]



Note: 1) Figure for Q1 2026 is for January.
Source: Ministry of Data and Statistics.

Manufacturing and construction employment declined at a slower pace

Figure 2.27. Changes in number of employed persons by industry[1)] (monthly)

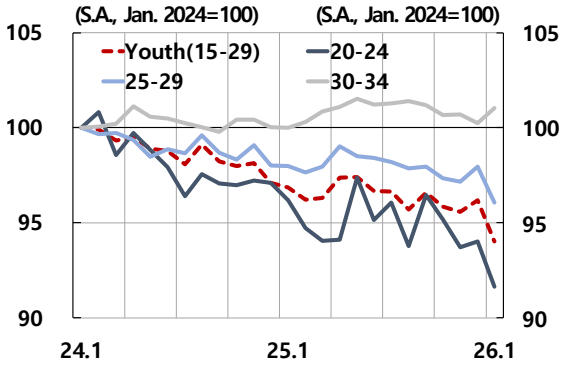


Note: 1) Domestic-demand sectors: wholesale and retail trade, food and accommodation, arts and sports, personal services, transport and warehousing, and business support services. Knowledge-intensive sectors: ICT and professional, scientific and technical services
Source: Ministry of Data and Statistics.

2.13. Youth[52] employment weakness persisted. The youth employment rate continued to decline for both the early 20s (20-24) and late 20s (25-29) groups. By industry, manufacturing employment among those in their 20s decreased overall, while construction employment in the same age group saw a slower decline. In services, early-20s employment fell sharply in domestic-demand sectors, while late-20s employment declined markedly in knowledge-intensive services. Youth classified as "available but not seeking work" continued to rise, particularly among those in their late 20s. Youth hiring difficulties are judged to stem from companies' conservative approach to new hires amid the spread of AI technology, alongside persistent structural issues such as job mismatch[53] and preference for experienced workers.

Employment rate for those in 20s is falling

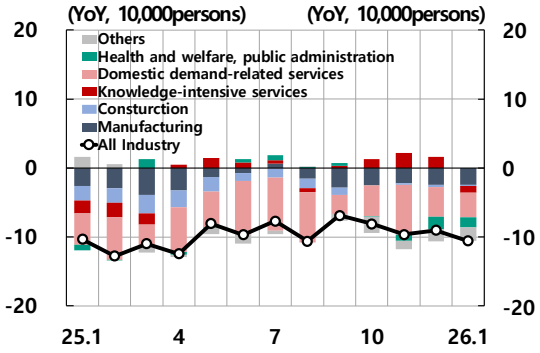
Figure 2.28. Youth employment rate by age group (monthly)



Source: Ministry of Data and Statistics.

Employment for early 20s declined most sharply in domestic demand-related services

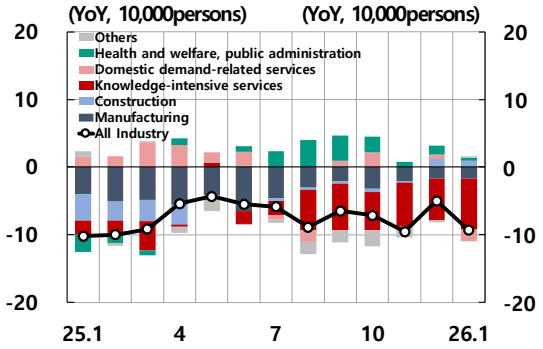
Figure 2.29. Changes in employed persons aged 20-24 by industry (monthly)



Source: Ministry of Data and Statistics.

Employment decline among late-20s youth in knowledge-intensive services has slowed recently

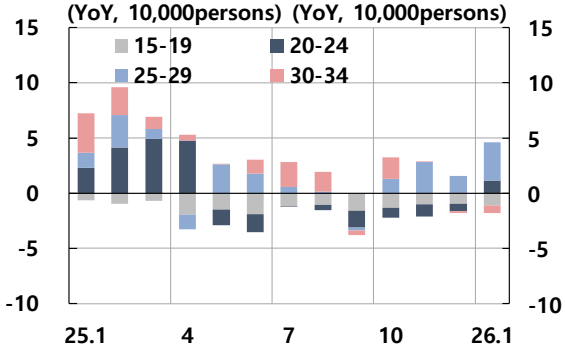
Figure 2.30. Changes in employed persons aged 25-29 by industry (monthly)



Source: Ministry of Data and Statistics.

Late-20s youth classified as "taking a break from the labor market" is rising

Figure 2.31. Changes in employed persons classified as "taking a break from the labor market" (monthly)



Source: Ministry of Data and Statistics.

[52] Youths are defined as those aged 15 to 29, according to Korea's main employment indicators (Economically Active Population Survey). However, other statistics and laws define youth as those aged 15 to 34, so the data here includes ages 30 to 34.

[53] Among the reasons for youth (15-29) "taking a break from the labor market," "difficulty finding desired jobs" (34.1%) was the most common (August 2025 supplementary survey on economically inactive population, Economically Active Population Survey).

2.14. Employment is projected to increase by 170,000 in 2026, moderating slightly from 190,000 in 2025, partly due to a decline in the working-age population; however, weakness in private sector exployment is expected to ease. The weakness in private-sector employment will likely continue to ease, following trends since the second half of 2025, supported by services sector gains from consumption recovery and rising numbers of foreign tourists. Nevertheless, non-IT manufacturing employment trends are likely to decline amid intensifying global competition and advancing labor-saving technologies. Government youth employment policies pose an upside risk to the outlook, while potential workforce downsizing in the petrochemical and retail sectors presents downside risks.

Employment Outlook[1)]

(10,000 persons, %)

	2024	2025			2026[e)]			2027[e)]
	Year	H1	H2	Year	H1	H2	Year	Year
Employment change[2)]	**16**	18 <18>	21 <19>	**19** <18>	17 <14>	18 <15>	**17** <15>	**15** <15>
Unemployment rate	**2.8**	3.1 <3.1>	2.5 <2.5>	**2.8** <2.8>	3.1 <3.1>	2.6 <2.6>	**2.8** <2.8>	**2.8** <2.8>
(S.A.)	-	2.8	2.8	-	2.8	2.8	-	-
Employment rate[3)]	**62.7** **[69.5]**	62.6 [69.6]	63.1 [70.1]	**62.9** **[69.8]**	62.7 [69.9]	63.2 [70.5]	**63.0** **[70.2]**	**63.1** **[70.2]**

Notes: 1) Figures in < > are projections as of November 2025.
2) Year-on-year.
3) Aged 15 or older, numbers in [ ] are for ages 15-64 based on the OECD standard.
Sources: Ministry of Data and Statistics, Research Department.

3. Risk Assessment

Key Risks to the Outlook

3.1. The growth forecast path is subject to substantial uncertainty surrounding the semiconductor cycle, global trade environment, and international financial markets. For inflation, oil price and exchange rate movements constitute the key risk factors.

	Upside risks	Downside risks
GDP growth	▪Further expansion of semiconductor cycle upturn ▪Strengthened stimulus by domestic/foreign governments ▪Easing of trade environment uncertainty	▪Further escalation of U.S. tariff policy uncertainty ▪International financial market instability (AI overinvestment, fiscal concerns in major economies) ▪Deepened weakness in non-IT sector
CPI inflation	▪Intensified geopolitical instability ▪Persistence of elevated exchange rate	▪Deepened global crude oil oversupply ▪Strengthened government price stabilization measures

Distribution of GDP growth and CPI inflation forecasts by Market Participants

3.2. The median forecasts of major forecasting institutions for Korea's 2026 growth and inflation have been revised slightly upward since the November forecast round. The median GDP growth forecast among market participants stands at 2.0%, up 0.1%p from the November forecast of 1.9%. The CPI inflation forecast has also risen 0.1%p from 1.9% to 2.0%.

The median forecasts for Korea's 2026 GDP growth and CPI inflation have both been revised slightly upward to 2.0%.

Figure 3.1. Distribution of GDP growth[1] forecasts for 2026

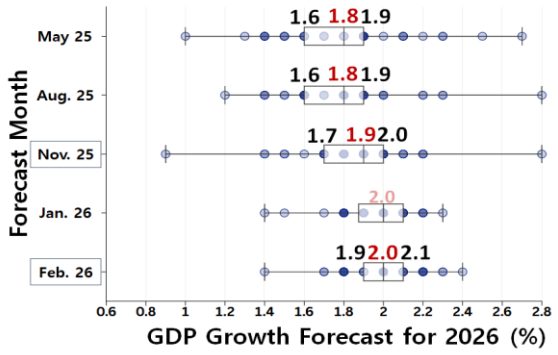
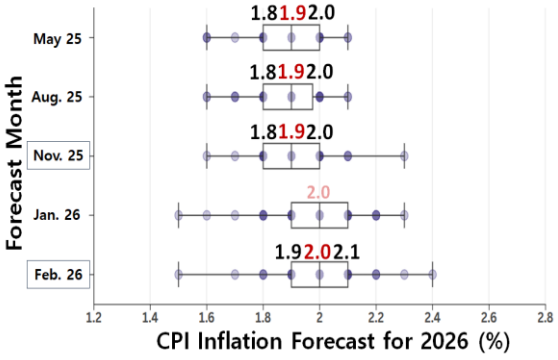
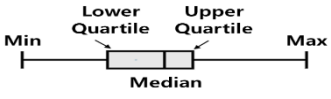


Figure 3.2. Distribution of CPI inflation[2] forecasts for 2026





Notes: 1) Based on 38 to 41 institutions.
2) Based on 28 to 37 institutions.
Source: Bloomberg (Data retrieved on February 9).

Scenario Analysis

3.3. Market sentiment remains divided between expectations for an acceleration of AI industry growth and concerns about AI overinvestment. As AI expansion serves as a key driver of Korea's semiconductor exports, developments in the AI industry are expected to have significant implications for the domestic economy as a whole. Against this backdrop, the following alternative scenarios were analyzed.

Under the **baseline scenario**, the growth rate of semiconductor export volumes is assumed to gradually decelerate from 16% in 2025, taking into account the pace of semiconductor production capacity expansion and the prospective imposition of semiconductor tariffs (assumed from Q1 2027), while maintaining solid growth.

* 2026: around 10% (vs. around 7% assumed at the time of the November 2025 forecast) → 2027: around 8% (vs. around 5%)

- **Optimistic scenario (Sustained High Export Growth):** The proliferation of physical AI intensifies competition to secure semiconductors, and state-led AI initiatives accelerate, sustaining Korea's semiconductor export volume growth near the 2025 level. Under this scenario, **GDP growth** would be **0.2%p higher in 2026** and **0.3%p higher in 2027** relative to the baseline, while the **CPI inflation** rate would be **0.1%p higher in both years**.

- **Pessimistic scenario (Sharply Decelerating Export Growth):** AI profitability falls short of expectations, and physical bottlenecks such as power shortages intensify during data center expansion, causing semiconductor export volume growth to decelerate rapidly to around 6% in 2026 and around 3% in 2027. Under this scenario, **GDP growth** would be **0.2%p lower in 2026** and **0.3%p lower in 2027**, while the **CPI inflation** rate would be **0.1%p lower in 2026 and 2027.**

Table 3.1. Assumptions for Semiconductor Exports by Scenario

	Key assumptions[1)]
Baseline scenario	▶ Semiconductor export volume growth gradually decelerates. (2025: 16% → 2026: around 10% → 2027: around 8%)
Optimistic scenario	▶ Export volume growth persists near the level in 2025 (16%).
Pessimistic scenario	▶ Growth decelerates rapidly from around 6% in 2026 to around 3% in 2027.

Table 3.2. Growth and Inflation Outlook by Scenario

GDP growth

(%, %p)	2025[e)]	2026[e)]	2027[e)]
Baseline projection	**1.0**	**2.0**	**1.8**
Optimistic scenario		**+0.2**	**+0.3**
Pessimistic scenario		**-0.2**	**-0.3**

CPI inflation

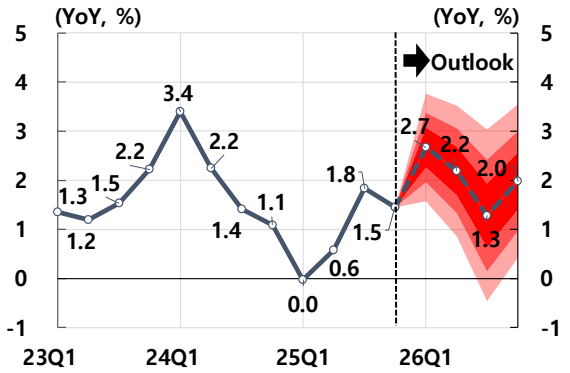
(%, %p)	2025[e)]	2026[e)]	2027[e)]
Baseline projection	**2.1**	**2.2**	**2.0**
Optimistic scenario		**+0.1**	**+0.1**
Pessimistic scenario		**-0.1**	**-0.1**

Note: 1) The figures are based on the semiconductor export volume index.
Source: Research Department.

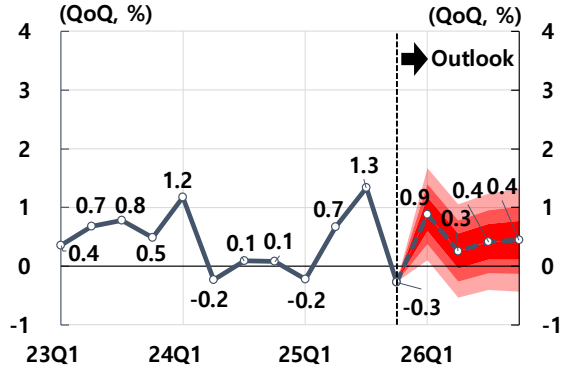
BOX Quarterly Forecasts for the One-Year-Ahead Horizon

GDP Growth

Outlook for GDP growth[1] (YoY)



Outlook for GDP Growth[1] (QoQ)



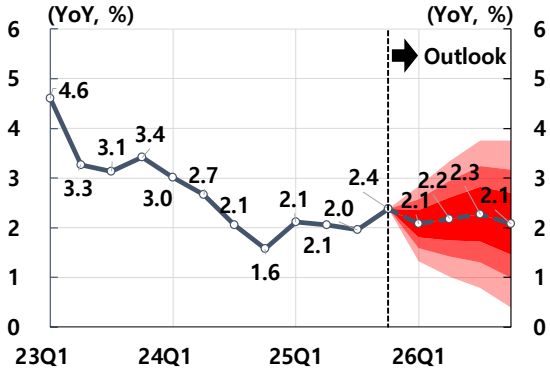
Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.
Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025				2026e)			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP growth rate	**0.0**	**0.6**	**1.8**	**1.5**	**2.7**	**2.2**	**1.3**	**2.0**
(QoQ, %)	-0.2	0.7	1.3	-0.3	0.9	0.3	0.4	0.4

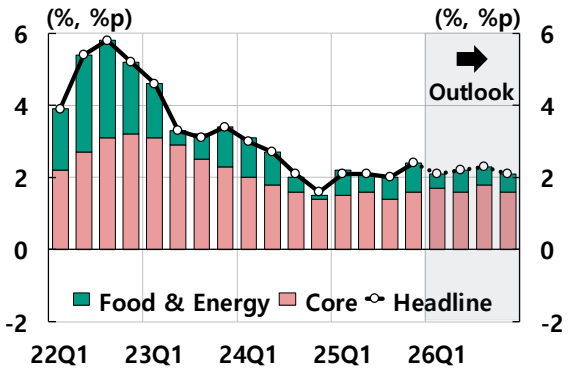
Source: Research Department.

CPI Inflation

Outlook for headline CPI inflation[1]



Contribution to headline CPI inflation



Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.
Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025				2026e)			
	Q1	Q2	Q3	Q4e)	Q1	Q2	Q3	Q4
CPI inflation	**2.1**	**2.1**	**2.0**	**2.4**	**2.1**	**2.2**	**2.3**	**2.1**
• Core inflation[1]	1.9	2.0	1.7	2.0	2.1	2.0	2.3	2.1

Note: 1) Excluding food and energy.
Source: Research Department.

<Appendix> Key Economic Indicators

[Global Economy]

(change from previous period, %)		2024	2025							2026
			Year	1Q	2Q	3Q	4Q	Nov	Dec	Jan
United States	GDP growth[1]	2.8	2.2	-0.6	3.8	4.4	1.4	-	-	..
	Industrial Production[2]	-0.7	1.1	1.0	0.5	0.5	-0.3	0.1	0.2	0.7
	Retail sales	3.0	3.7	0.4	0.7	1.4	0.4	0.6	0.0	..
	CPI inflation[3]	2.9	2.6	2.7	2.4	2.9	2.7	2.7	2.7	2.4
	Changes in Non-Farm Payrolls(1,000s)	1,826	764	205	169	34	-69	41	48	130
Euro Area	GDP growth	0.9	1.5	0.6	0.2	0.3	0.3	-	-	-
	Industrial Production[2]	-3.0	1.5	1.8	-0.3	0.1	0.5	0.3	-1.3	..
	Retail sales	1.3	2.3	0.5	0.8	0.3	0.4	0.1	-0.5	..
	Customs Exports[4]	0.6	2.4	7.0	-5.6	-0.1	-0.7	0.8	1.1	..
	CPI inflation[3]	2.4	2.1	2.4	2.0	2.1	2.1	2.1	2.0	1.7
China	GDP growth[3]	5.0	5.0	5.4	5.2	4.8	4.5	-	-	-
	Industrial Production[2][3]	5.8	5.9	6.5	6.2	5.8	5.0	4.8	5.2	..
	Retail sales[3]	3.5	3.7	4.6	5.4	3.4	1.7	1.3	0.9	..
	Fixed Investment[3][5]	3.2	-3.8	4.2	2.8	-0.5	-3.8	-2.6	-3.8	..
	Customs Exports[3]	5.8	5.5	5.6	6.1	6.5	3.8	5.9	6.6	..
	CPI inflation[3]	0.2	0.1	-0.1	0.0	-0.2	0.6	0.7	0.8	0.2

Notes: 1) Annualized rate. 2) Based on the mining and manufacturing industry. 3) Year-on-year changes.
4) Excluding intra-region trade. 5) Cumulative.

Sources: Fed, BEA, BLS, Eurostat, National Bureau of Statistics of China, GACC.

[Global Energy Prices]

(avg. over time)	2024	2025							2026	
		Year	1Q	2Q	3Q	4Q	Nov	Dec	Jan	Feb[3]
Dubai Oil[1]	80	68	76	66	68	63	64	62	64	68
Brent Oil[1]	80	68	75	67	68	63	64	62	65	69
Europe Natural Gas[2]	35	36	47	36	33	30	31	28	34	33

Notes: 1) USD/barrel. 2) Euro/MWh 3) Averages of February 1~20.

Sources: Bloomberg.

[Korea's Economy]

(change from previous period, %)	2024	2025							2026
		Year	1Q	2Q	3Q	4Q	Nov	Dec	Jan
GDP growth	2.0	1.0	-0.2	0.7	1.3	-0.3	-	-	-
Retail sales	-2.1	0.5	0.4	-0.9	1.5	0.8	-3.2	0.9	..
(year-on-year)			(-0.3)	(0.0)	(1.5)	(0.8)	(0.8)	(1.2)	..
Facilities Investment	2.9	1.7	-1.7	0.0	5.7	-7.9	1.7	-3.6	..
(year-on-year)			(5.7)	(5.3)	(1.9)	(-5.4)	(-0.2)	(-10.3)	..
Construction Completed	-4.7	-16.2	-6.4	-3.2	2.7.	-8.7	6.7	12.1	..
(year-on-year)			(-21.2)	(-17.4)	(-11.8)	(-14.3)	(-16.6)	(-4.2)	..
Customs exports[1)]	6,836	7,093	1,595	1,751	1,849	1,898	608	695	658
(year-on-year)	(8.1)	(3.8)	(-2.3)	(2.1)	(6.5)	(8.4)	(7.9)	(13.3)	(33.8)
Customs imports[1)]	6,318	6,319	1,528	1,544	1,625	1,622	513	574	571
(year-on-year)	(-1.7)	(0.0)	(-1.3)	(-1.7)	(1.6)	(1.4)	(1.1)	(4.6)	(11.6)

Notes: 1) Values are in USD 100 million.

Sources: Bank of Korea, Ministry of Data and Statistics, Korea Customs Services.

(year-on-year, %)		2024	2025							2026
			Year	1Q	2Q	3Q	4Q	Nov	Dec	Jan
Price	CPI inflation	2.3	2.1	2.1	2.1	2.0	2.4	2.4	2.3	2.0
	Core inflation[1)]	2.2	1.9	1.9	2.0	1.7	2.0	2.0	2.0	2.0
Current Account	Current Account[2)]	1,000	1,231	195	284	360	392	129	187	..
	Goods	1,109	1,381	220	359	376	426	147	189	..
	Services	-294	-345	-82	-81	-77	-106	-29	-37	..
	Primary and secondary income	185	195	57	6	61	71	11	35	..
Employment	Employment Change[3)]	15.9	19.3	15.5	20.7	21.6	19.5	22.5	16.8	10.8
	Unemployment Rate (S.A., %)	2.8	2.8	2.8	2.7	2.7	2.9	2.8	3.3	3.0

Notes: 1) Excluding food and energy. 2) Values are in USD 100 million. 3) 10k persons.

Sources: Bank of Korea, Ministry of Data and Statistics.

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